USDA United States Department of Agriculture
Foreign Agricultural Service

GAIN Global Agricultural Information Network

Required Report: Required - Public Distribution **Date:** March 21, 2025

Report Number: BR2025-0006

Report Name: Oilseeds and Products Annual

Country: Brazil

Post: Brasilia

Report Category: Oilseeds and Products

Prepared By: Joseph Degreenia and Samuel D Santos

Approved By: Frederick Giles

Report Highlights:

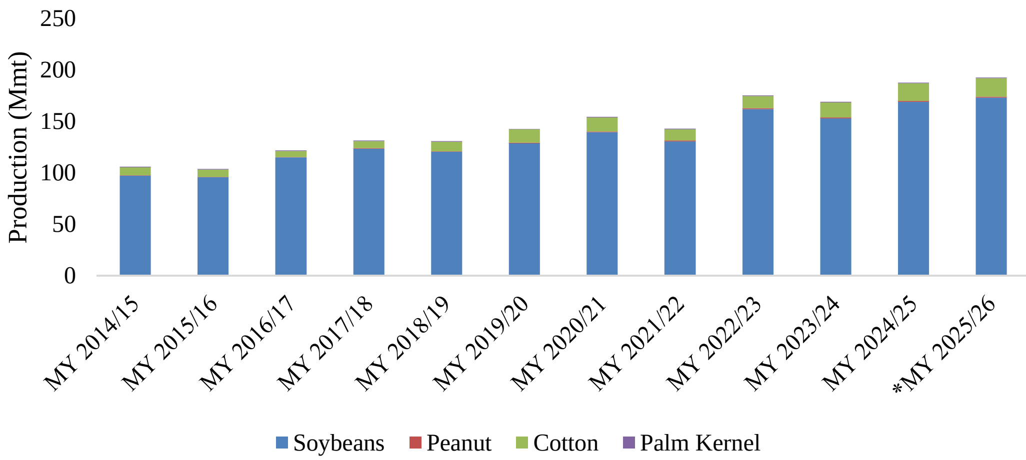
Post forecasts that Brazilian producers will expand soybean planted area to 48.2 million hectares (ha) in the 2025/26 season, up from an estimated 47.3 million ha in 2024/25. Soybean production for 2025/26 is projected to reach 173 million metric tons (mmt), an increase from the estimated 169.5 mmt harvested this season. Soybean exports are projected to reach record levels this season, with total exports estimated at 108.3 MMT for MY 2024/25 and 112 mmt for MY 2025/26. Similarly, peanut and palm oil planted area and production are expected to increase, driven by new market opportunities and the rise in demand for product derivatives. Following Brazil's emergence as the world's leading cotton exporter in MY 2023/24, cottonseed area and production are forecast to continue rising in the 2025/26 season, supported by domestic opportunities, strategic planting decisions (second crop), profitability, and growing global demand.

OILSEEDS SECTOR IN BRAZIL

Brazil is a key global oilseed producer, accounting for almost a quarter of total global supply. For the 2025/26, marketing year (MY), Post estimates that the country will produce approximately 193 mmt of soybeans, cottonseed, palm oil and peanuts. Soybeans are by far the most dominant oilseed, representing nearly 90 percent of all oilseeds produced in the country. Cottonseed production is a distant second with 9.3 percent of Brazil's total oilseed volume, while peanuts, and palm oil account for less than one percent of production.

Figure 1

Evolution of Soybeans, Peanuts, Cottonseed and Palm Oil Production in Brazil (MY 2014/15 – MY 2025/26)



Source: USDA's Foreign Agricultural Service (FAS). Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA). Note: Data for the latest two MY of the series, marked with (*), considers Post's estimates.

Globally, Brazil is the leading producer and exporter of soybeans, accounting for more than 40 percent of the world's soybean production, followed by the United States. Brazil contributes about ten percent of world cottonseed production, however, 99 percent of cottonseed production in Brazil is consumed domestically. Brazil accounts for less than two percent of global peanut production. However, for the past few years, it is among the world's top five exporters of peanuts and second-largest exporter of peanut oil. Brazil's contribution to global production and trade of palm oil is negligible, below one percent. Brazil is expected to maintain its position as the oilseed production powerhouse in MY 2025/26 based on its dominance in the global soybean sector.

Across all oilseed crops, key factors driving oilseeds planted area in the next season will be availability of arable land, costs of inputs and commodity prices. Brazilian growers are expected to continue to rely on innovative technology (seeds and crop protection) to maintain elevated yields, though the use of technology-intensive inputs in the coming MY will depend on the final rentability of the current season's output.

From an international perspective, a favorable BR$ - US$ exchange rate should continue to benefit Brazil's export of commodities. Domestically, internal demand for oilseeds is expected to grow in line with both increased appetite for soybean oil to produce biofuels, as well as solid meal demand for animal feed.

SOYBEANS SECTOR

Area, Production and Yields

Soybean Planted Area and Production Continue Expansion but at a slower rate in MY 2025/26

Post forecasts that Brazilian producers will expand soybean planted area to reach 48.2 million hectares (ha) in the 2025/26 season (January-December 2025), up from the estimated 47.3 million hectares planted by producers in the 2024/25 season. Soybeans are grown in 19 of Brazil's 26 states, as well as in the capital Federal District. This represents a two percent year-on-year increase which is below the 5-year average of five percent. Post forecasts MY 2025/26 production at 173 million metric tons (mmt), resulting in an average national yield of 3.59 kilograms (kg) per ha. This represents a two percent increase year-on-year which is below the five-year average of 6 percent. This is a direct result from the 2024/25 season with high production costs, prices flattening from the post covid surge resulting in thin margins. Post contacts shared there is little incentive or available capital to sustain area expansion at the same rate as the previous season.

Less capital is expected for producers in 2025 and the pace of area conversion (where it is possible), machinery acquisition, and increase of variable costs (e.g. fertilizers, seeds, labor, etc) should also slow. Amidst declining prices and persistently high production costs and interest rates, Brazilian farmers should opt for cutting back variable costs, which could lead to lower national yields by the end of next MY.

Area conversion from degraded pastureland in 2025/26

Brazil is focusing on the conversion of degraded pastureland to new crop expansion area. Post contacts have provided various figures regarding Brazil's area of degraded pasturelands, with a significant range among the numbers given, indicating a gap between different methodologies and definitions used to calculate figures. In 2023, The Government of Brazil (GoB) announced an interministerial program aimed at recovering 40 million ha over the next ten to fifteen years.

Brazilian producers have an incentive to continue expanding planted areas over pasturelands, as soybeans usually offer better liquidity and rentability than livestock. However, for the 2025/26 season due to soybean prices in the short and medium term, Post contacts shared that conversion of pastureland to cropland is not as profitable as recent years. As the newly converted areas should not offer average yields up to the first three seasons, producers may be more inclined to resume area expansion when margins are high again. Also, when it comes to pastureland conversion, Brazil may invest more in Center West areas than in MATOPIBA, given its different levels of agricultural and infrastructure maturity, which may lead to regional discrepancies in area expansion.

However, it is still unclear what official definition of degraded pasturelands will be used to drive land conversion, or how Brazil will allocate the extra production reaped from area expansion. Post contacts indicated that recovering degraded pasturelands could only be viable to the extent that Brazil could increase domestic consumption of oil for higher blends of biofuels and additional consumption of meal. In a study dedicated to forecasting Brazil's agricultural growth over the next decade, Brazil's National Supply Company (CONAB) estimates that, by 2032/33, Brazil's soybean area should reach nearly 56 million ha, with production at 186.7 mmt.

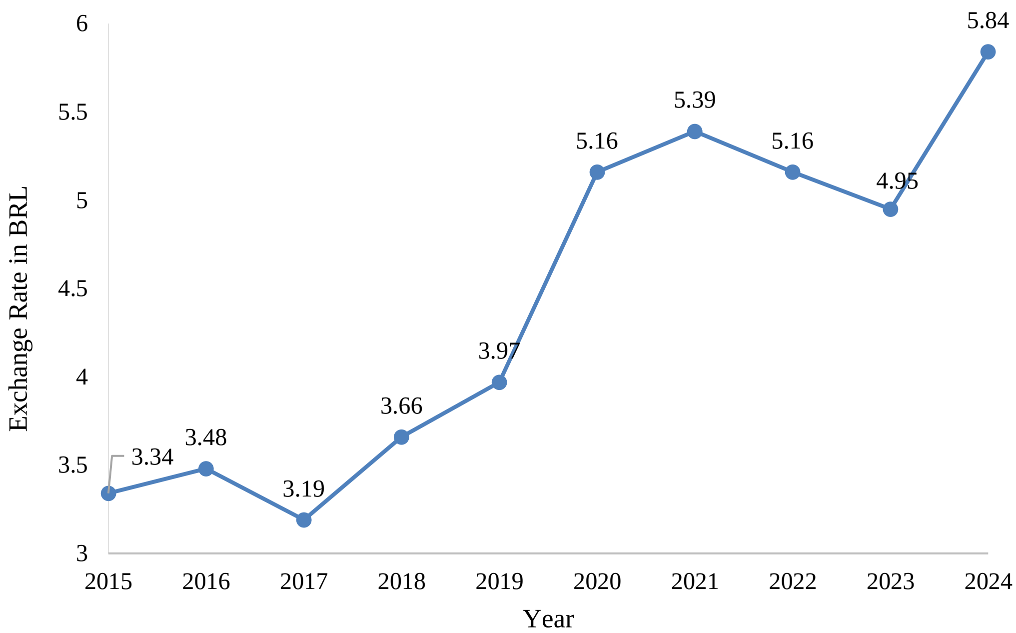
Various Factors Impact Expansion in 2025/26

Global Demand: Post contacts indicate that global soybean demand will likely continue to rise, as the commodity is used in food, feed, and fuel. The Brazilian market anticipates that soybeans will be increasingly used in the production of biodiesel with the growing push for sustainable and renewable energy sources. There is also an emerging global trend of consumers seeking to supplement their diets with plant protein and plant lipid ingredients. At the same time, rising meat consumption is expected to create additional feed demand.

China is the primary driver of global demand, accounting for most soybean imports worldwide. The U.S. and Brazilian soybean harvest and export calendars are complementary, and there is demand for soybeans from both countries. Post contacts note that China is unlikely to significantly pull back on purchases of Brazilian soybeans due to established relationships and the inherently less politically charged relationship between Brasilia and Beijing.

Favorable Exchange Rate: Due to continued economic stagnation, the value of the Brazilian currency, the real (R$), continues to favor Brazilian exports. Most analysts currently forecast that the Brazilian real will remain at the current exchange rate in 2025 and 2026. This includes the exchange rate of R$5.5 to 1 USD.

Figure 2
Average Cost of Brazilian Real to U.S. Dollar, 2012-2024



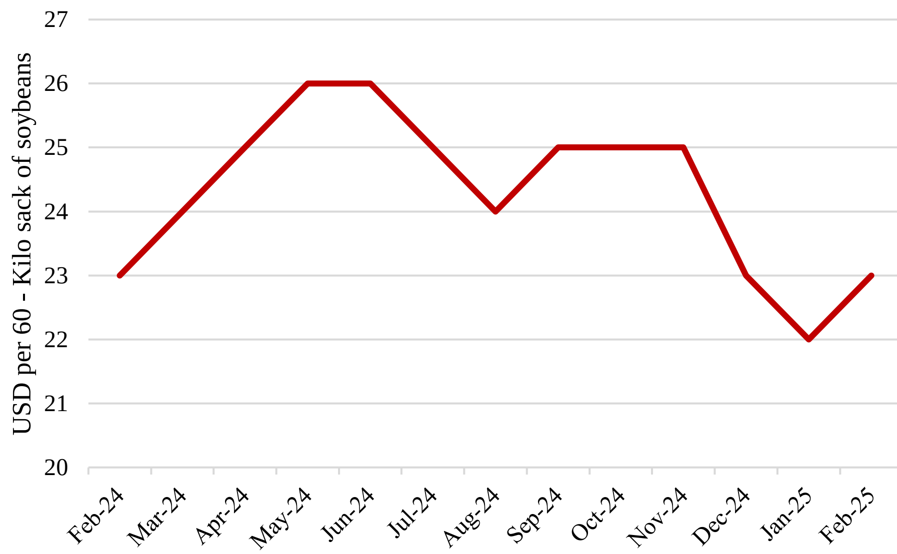
Source: Brazilian Central Bank, Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

The economic scenario in Brazil impacts different levels of production, consumption, and export decisions. Sluggish economic performance is expected in 2025. The Brazilian Central Bank (BCB) estimates GDP to grow 2.01 percent in 2025 and 1.70 percent in 2026. The Central Bank Focus survey anticipates inflation at 5.60 percent in 2025 and 4.35 percent in 2026. Brazil exceeded expectations in 2024, growing its GDP by close to 3.7 percent, mainly due to increased consumer and government spending.

The exchange rate from Brazilian reais to U.S. dollars is forecasted at R$6.00 to USD1.00 both in 2025 and 2026. The real has continued to lose value, impacting production and exports. As a comparison, the first BCB Focus Survey of 2024 had forecasted 2025's exchange rate at R$ 5.00 to every dollar.

The Institute of Geography and Statistics (IBGE) latest data shows that Brazil had 7.0 million people unemployed in the third quarter of 2024, which represents a 6.4 percent unemployment rate. However, there are an additional 3.1 million people that have stopped looking for work. The total underutilized rate for the third quarter of 2024 is 15.7 percent.

Figure 3
Soybean Prices at the Port of Paranaguá



Source: CEPEA data | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

Volatility in Prices: Growers have experienced a drop in soybeans prices in MY 2023/24 compared to the previous year. At the Port of Paranaguá, the average Brazilian soybean export price in 2023 ended at $30.14 USD for a 60kg sack, dropping to $24.87 USD in 2024. As of February 2025, Brazilian soybean farmgate prices have decreased by 3 percent compared to the previous month. This decline is influenced by record-high production, leading to increased supply and subsequent price adjustments.

Market analysts indicated to Post there is an increasing belief in the market that the global soybean sector may be entering a new super cycle for the next couple of years, with limited stocks and a potential increase in prices. Despite rising production, demand is expected to outstrip supply. Even with the record Brazilian supply of soybeans forecasted for 2025/26, analysts forecast prices will remain stable. Figure 5 illustrates the dramatic rise in soybean prices at the port of Paranaguá, starting in 2019, followed by a drop to lower, more stable levels in the post-pandemic period.

Figure 4

2024 Farmgate Soybean Prices in Brazil

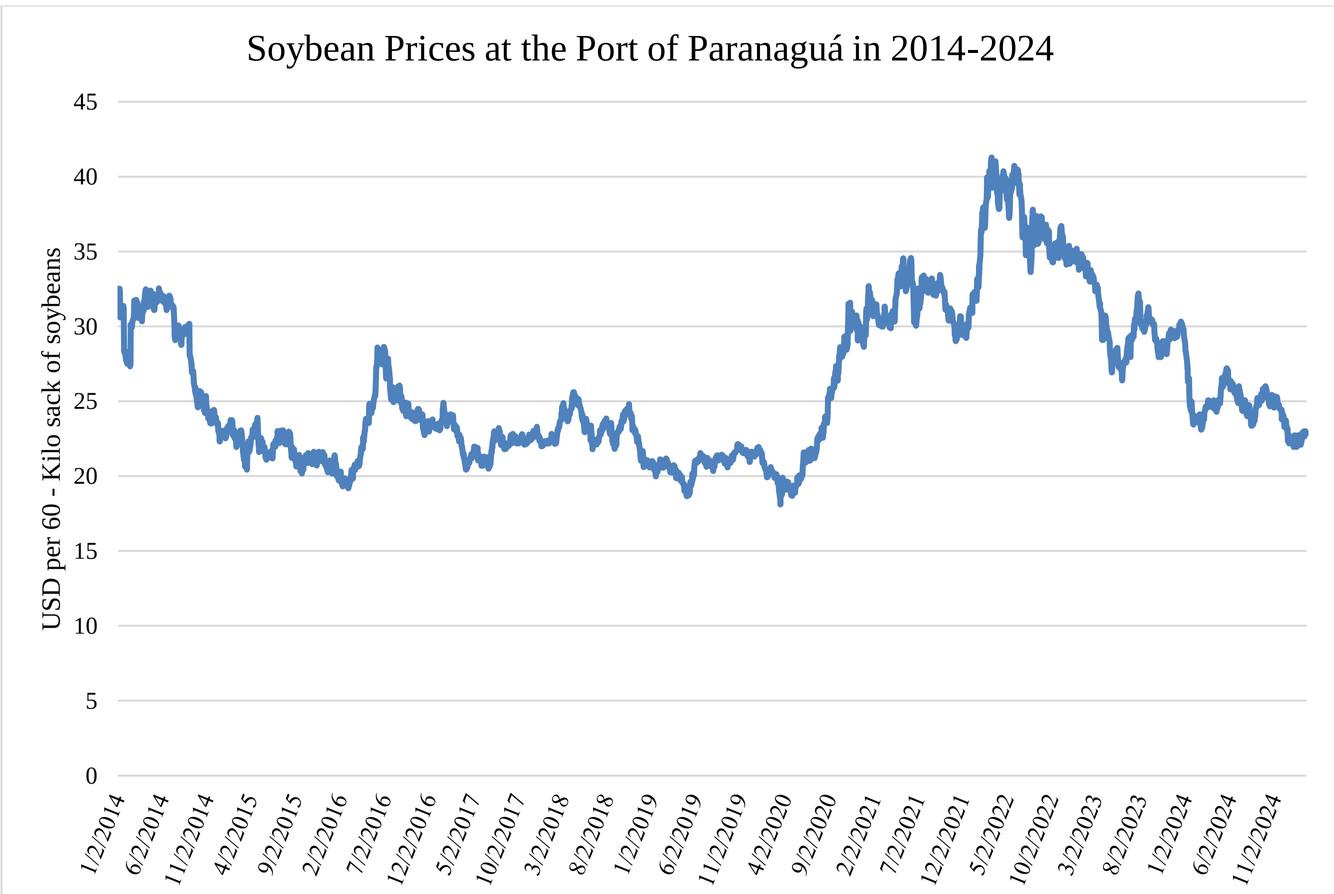
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Maringá / PR	117.63	110.5	116.7	123.25	130.7	132	132.25	131	138.38	142.75	141.6	136.13
Mogiana / SP	123.5	115.25	119.5	124.38	133.3	135.88	135.88	131.6	137.38	138.25	140.1	135.88
Passo Fundo / RS	124.5	119	119.3	124	131.1	135.5	135.25	131.3	136	136.5	136.8	135.75
Rondonopolis / MT	113.88	104.25	111.1	116.75	123	126.13	127.5	128.6	134	141.13	152.1	129.5

Prices in R$/60 kg sack (w/o ICMS)

Source: Abiove, The Brazilian Association of Vegetable Oil Industries

Figure 5

Soybean Prices at the Port of Paranaguá in 2014-2024



Source: CEPEA data | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

Historical Growth

According to Post estimates, Brazil’s cumulative soybean planted area grew by 19 percent, or 7.5 million ha, over the last five seasons. The USDA planted area estimate is in-line with the area expansion reported by CONAB. CONAB estimates that over the last five seasons, Brazil’s cumulative soybean planted area increased 20 percent, or 7.9 million ha.

Brazil’s massive Center West region – encompassing the states of Mato Grosso (mt), Mato Grosso do Sul (MS), Goais (GO), and the capital Federal District (DF) - is by far the largest producer, accounting for over a third of the country’s planted area and production volume. CONAB estimates that in the last five seasons, soybean planted area in the Center West region rose at a pace of 21 percent. In the Center West region, farmers sowed 22.1 million ha in the current season, expanding soybean acreage by 3.9 million hectares in the last five seasons. Post contacts in the region’s biggest producing state of Mato Grosso have suggested there is substantial opportunity for planted area expansion, assuming fertilizer and other input supplies revert to normal levels. The Mato Grosso Institute of Agricultural Economics (IMEA) estimates that by 2030 soybean planted area in the state will grow to 14.79 million ha. This represents an increase of 19.5 percent from 2024 and a total of 41 percent growth in the same 10-year run.

Brazil's soybean planted area is projected to grow from 39.6 million hectares in 2020/21 to 47.5 million hectares in 2024/25, a 20 percent increase over five years, with the North and Northeast regions experiencing the highest relative growth at 52 percent and 37 percent, respectively.

One of the fastest growing regions for soybean expansion is the MATOPIBA region which encompasses the cerrado biome in the following states: Maranhao, Tocantins, Piaui and Bahia. According to CONAB and geospatial analysis research conducted by the Brazilian Association of Vegetable Oil Industries (Abiove), between the 2020/21 and 2023/24 growing seasons, MATOPIBA experienced a 32 percent increase in soybean area compared to a 20 percent increase in total national average.

Figure 6
Brazil's Soybean Planted Area by Region

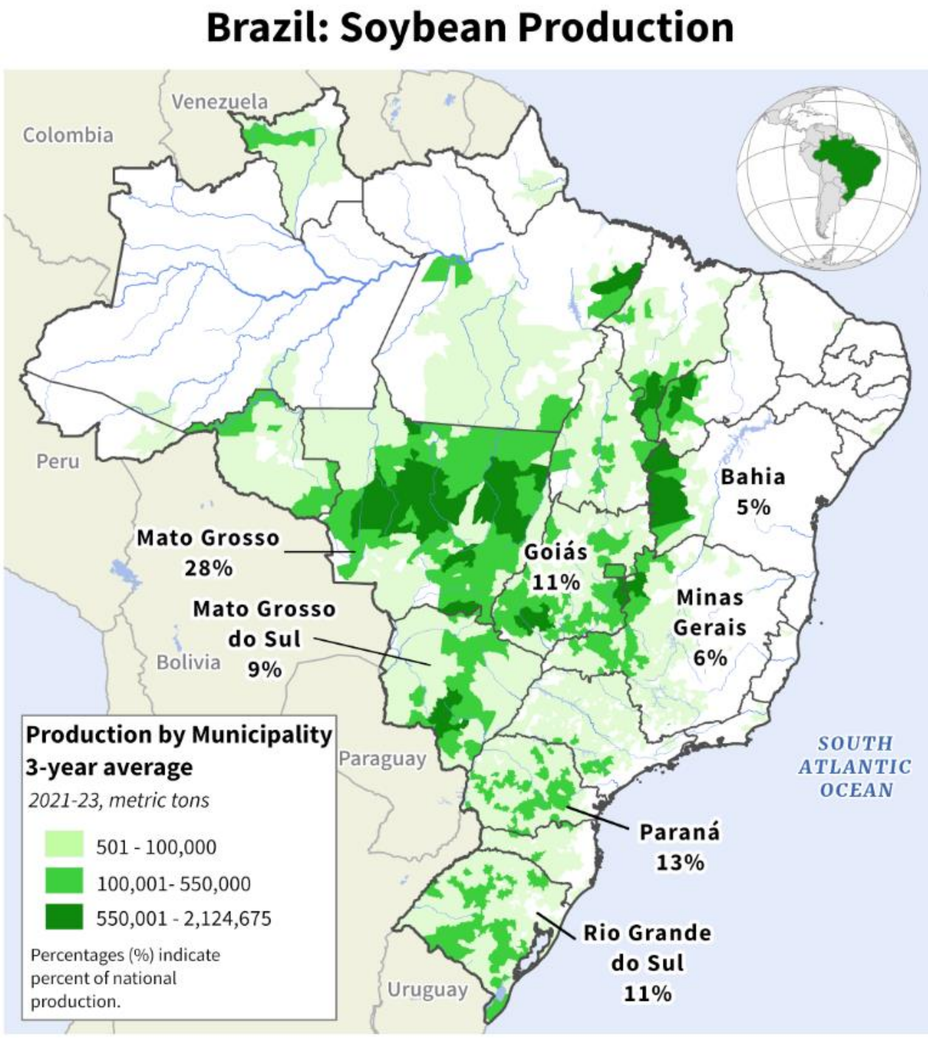
Soybean Planted Area by Region		2020/21	2021/22	2022/23	2023/24	2024/25	5-yr total Δ
North	planted area (mil ha)	2.3	2.6	3	3.4	3.5	**1.2**
	% increase	9%	13%	15%	13%	3%	**52%**
Northeast	planted area (mil ha)	3.5	3.8	4	4.4	4.8	**1.3**
	% increase	3%	9%	5%	10%	9%	**37%**
Center West	planted area (mil ha)	18.2	19.1	20.5	21.3	22.1	**3.9**
	% increase	10%	5%	7%	4%	4%	**21%**
Southeast	planted area (mil ha)	3.1	3.2	3.5	3.6	3.7	**0.6**
	% increase	11%	3%	9%	3%	3%	**19%**
South	planted area (mil ha)	12.4	12.8	13.1	13.4	13.6	**1.2**
	% increase	2%	3%	2%	2%	1%	**10%**
Total Brazil	planted area (mil ha)	**39.6**	**41.5**	**44.1**	**46.1**	**47.5**	**7.9**
	% increase	**7%**	**5%**	**4%**	**5%**	**3%**	**20%**

Source: CONAB March 2025 "Boletim da Safra de Graos" report data | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

Meanwhile, planted area growth will continue to plateau in the South – this region encompasses the states of Paraná (PR), Rio Grande do Sul (RS), and Santa Catarina (SC). Although this is Brazil's second-largest soybean-producing region, according to CONAB, in the last five years cumulative planted area expanded 10 percent, below half the rate of national growth. In Paraná, nearly all arable land has been put into crop rotation, thus planted area gains will be minimal in 2025/26. There is pastureland that could be converted in Rio Grande do Sul and Santa Catarina, with expansion on the order of one to two percent year-on-year. That said, crop agriculture has always had a big presence in the Southeast. There, the increase in soybean area represents a switch from other crops, such as sugarcane, given the high profitability and liquidity of the oilseed globally.

New cropland has been developed in the North and Northeast of Brazil. In this part of the country, expansion in crop cultivation is accomplished by converting degraded pastureland and by developing new fields for production. Post anticipates that crop development in this part of Brazil will continue to accelerate on the back of improving infrastructure and logistics.

Figure 7
Map of Soybean Production in Brazil



Source: Brazilian Insitiute of Geograpy and Statistics (IBGE) Data and USDA International Production Assessment Division Map

<u>*Soybean Planted Area and Production Estimate Increase for 2024/25*</u>

Post increased the soybean planted area estimate for 2024/25 to 47.3 ha, up 2.6 percent from last season's record area. CONAB and Post contacts estimated recent increases in Mato Grosso and Goiás that were underestimated in the beginning of the season.

Post increased the soybean production estimate for 2024/25 to 169.5 mmt, up 11 percent from the previous season. Yield is estimated at 3.58 tons per hectare, 8 percent higher than last season. This is due to higher-than-expected yields in Mato Grosso offsetting lower yields in Mato Grosso do Sul and Rio Grande do Sul.

State Analysis

Rio Grande do Sul: Weather instability has again impacted production in Rio Grande do Sul. After several weeks of dry weather, the state initiated the harvest season on February 27, reaching 1 percent of the total MY 2024/25 planted area. The harvest challenges caused by the hot and dry weather conditions in the months of January and early February will have a negative impact on the state's yields. The state will likely lose its spot as the second largest soybean producer in Brazil.

Paraná: As of the last week of February, the total soybean harvest in the state of Paraná reached 50 percent of total production for MY 2024/25. Paraná also is impacted by dry and hot weather over the past couple of months, especially in the western region. The Department of Rural Economics (DERAL) estimates production at 21.2 mmt for Paraná, a 4.7 percent decrease compared to the initial estimate.

Santa Catarina: CONAB estimated the MY 2024/25 soybean harvest in Santa Catarina to grow by 12.2 percent, with 768,000 hectares planted and an average yield of 3,771 kg/ha, resulting in 2.91 million tons. However, this estimate may be revised due to recent weather complications, as the lack of moisture is affecting the harvest in Santa Catarina, causing soybean losses and severe drought in the western region.

Mato Grosso: As of the first week of March, over 92 percent of soybeans in Mato Grosso were harvested, compared to 90 percent last year and an 87 percent five-year historical average, according to the Mato Grosso Institute of Agricultural Economics (IMEA). Even with the delayed start of harvest due to wet conditions, harvest is ahead of recent historical trends. IMEA estimated a record planted area in Mato Grosso at 12.7 million ha, resulting in a 1.6 percent increase from the previous season. Post contacts are reporting the harvest in Mato Grosso will reach a new record, with IMEA estimating production at 50 mmt in 2024/25 compared to 39 mmt in 2023/24. The yield in Mato Grosso is estimated to increase to 3,918.6 kg/ha, a 20 percent increase compared to the previous year at 3,129.6 kg/ha.

Mato Grosso do Sul: As of March 1, the 2024/25 soybean harvest in Mato Grosso do Sul reached 50.5 percent of the planted area, equating to 2.2 million hectares, according to the Mato Grosso do Sul Soybean Producers Association (Aprosoja). The southern region leads progress with 57 percent harvested, followed by the central region with 44 percent and the northern region with 33 percent. The southern region of the state is expected to have lower yields due to less than average rain. The harvest is ahead of the five-year average due to the early cycle in MY 2023/24, which experienced drought and high temperatures leading to an early crop conclusion. The state is now at peak harvest, with 79 percent of the estimated 4.5 million hectares expected to be harvested by March 14.

Federal District: For MY 2024/25, the total soybean planted area in the Federal District reached 87,900 hectares, with estimated production expected to reach 327,400 mt. The region's yield is at 3,724 kg/ha, surpassing the national average estimate of 3,498 kg/ha.

Goiás: Though Goiás also experienced concerns regarding hot and dry weather, the state benefited from more favorable conditions, allowing for an increase in production. As of the first week of March, 56 percent of the total planted area had been harvested. Goiás is another state reporting high yields, with an estimated yield of 3,797 kg/ha for MY 2024/25.

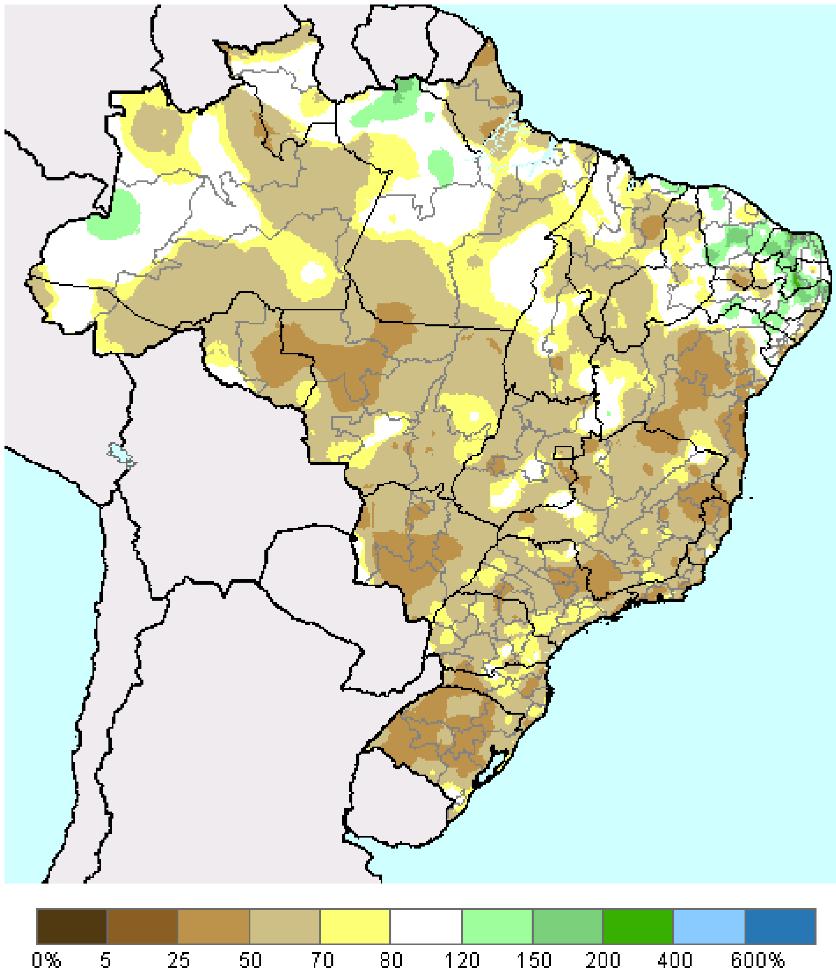
São Paulo: Between January and February, hot and dry weather was initially a concern in some regions, but the state of São Paulo has managed to harvest most of its total planted area with yields surpassing initial estimates, currently at 3,699.99 kg/ha.

Minas Gerais: Over 60 percent of the total planted area was harvested. Crops benefited from early favorable weather, but uncertainties remain, as rainfall during the harvest could negatively impact production, and reduced sunlight levels may lower grain weight. No major phytosanitary issues have been reported, though some fungal diseases emerged due to humidity.

Pará: The first planted regions in the state experienced favorable weather throughout the cycle but began harvesting under excessive moisture, leading to damaged grains in the initial harvests. Production is estimated to remain relatively stable compared to previous years, with yields at 3,033 kg/ha.

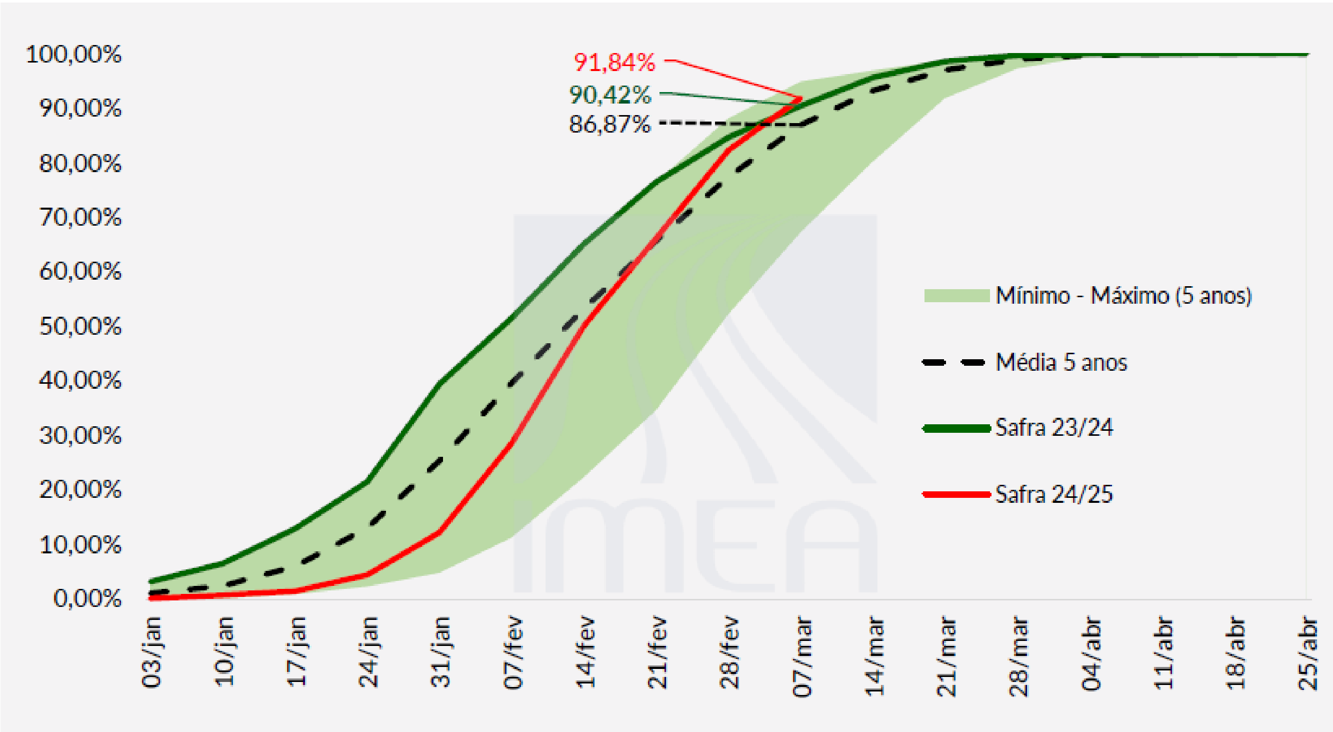
Tocantins: As of the first week of March, Tocantins had the second-highest harvest progress, with 60 percent of its soybean planted area harvested.

Figure 8
Percent of Normal Precipitation Over Three Months (November 16, 2024 - February 15, 2025)



Source: USDA International Production Assessment Division Map

Figure 9
Soybean Harvest Rate in the State of Mato Grosso



Source: The Mato Grosso Institute of Agricultural Economics (IMEA)

Transportation

Overall Transportation Costs Decreased in 2024

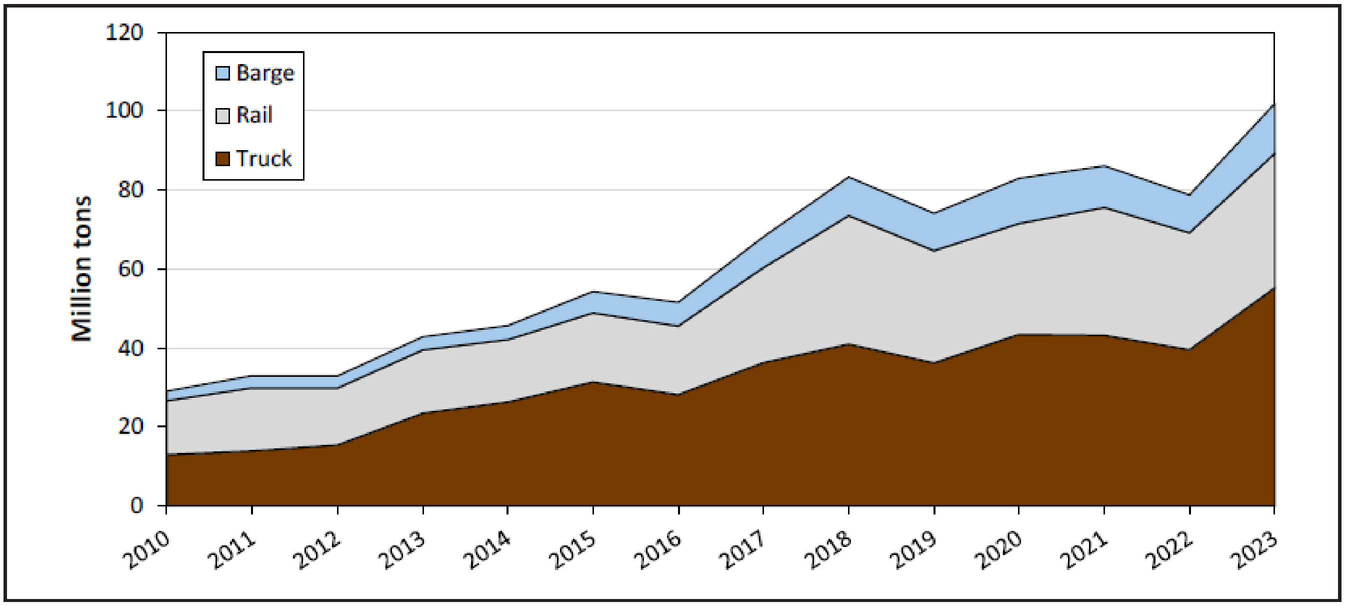
According to the USDA's Agricultural Marketing Service (AMS) Brazil Soybean Transportation report, Brazil's transportation costs for soybeans faced a decline during MY 2023/24. The cost of shipping a metric ton (mt) of soybeans 100 miles by truck decreased by 16 percent, from $9.41 USD per mt in the second quarter of 2023 to $7.86 per mt in the same period of 2024. This reduction was primarily due to lower export volumes, which lessened the demand for trucking services. Fuel prices, a significant component of transportation costs, remained higher than in 2021, despite a decline from 2022 levels.

Additionally, ocean freight rates experienced a modest increase; for instance, first-quarter 2024 rates for shipping bulk grain from the U.S. Gulf to Japan rose by 1 percent compared to the previous quarter. In the third quarter of 2024, the average Brazilian soybean export price was $434.91 per mt, a 13 percent decrease from $499.69 per mt in the third quarter of 2023. This decline in farm gate prices, coupled with reduced transportation costs, led to lower total landed costs for Brazilian soybeans exported to key markets like China.

In late 2024, Brazil faced significant drought conditions, particularly affecting river navigation routes essential for grain transport. The Madeira River's reduced depth halted grain transportation in September 2024, though operations resumed by November as water levels improved. These environmental factors influenced transportation logistics and costs during that period.

Figure 10

Brazilian soybean export modal shares, mt, 2010-2023



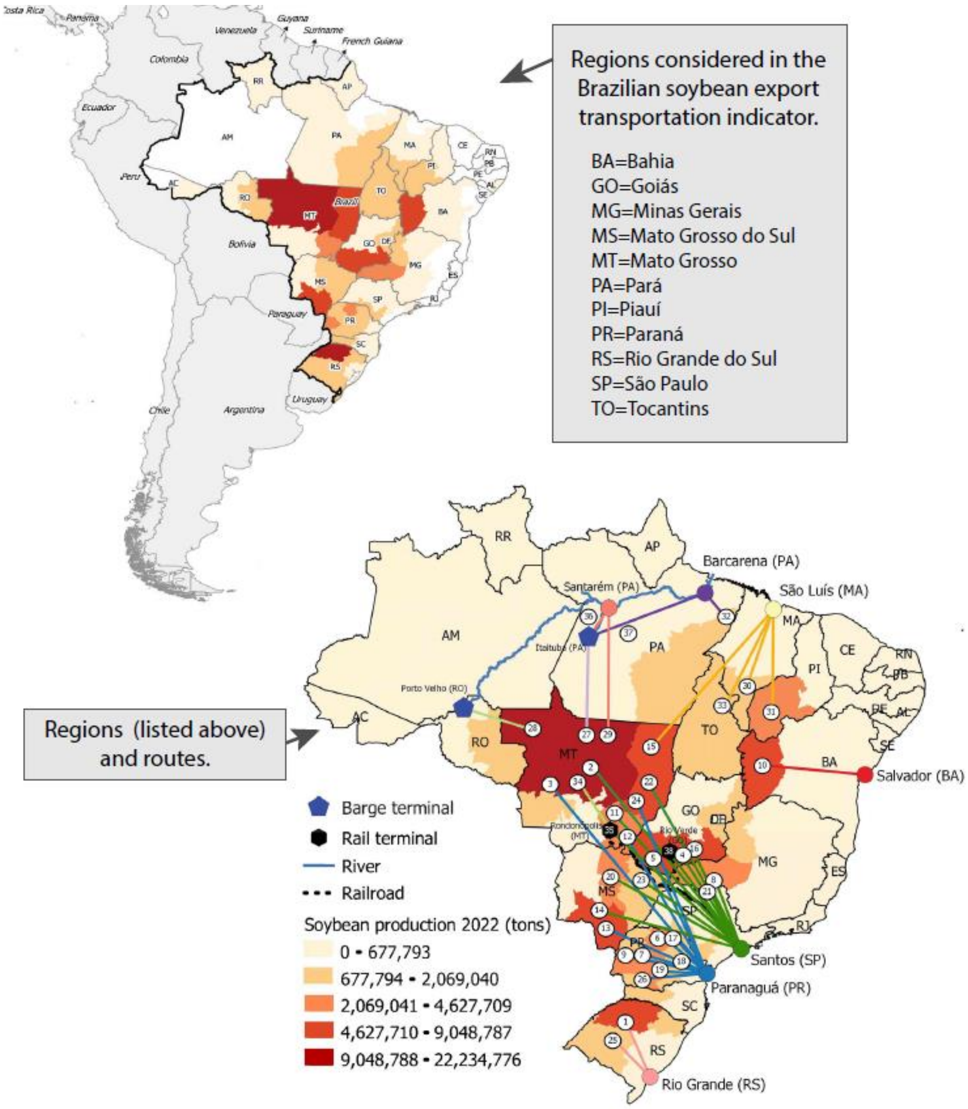
Source: Modal share analysis results—calculations by the University of São Paulo, Escola Superior de Agricultura "Luiz de Queiroz," Brazil (ESALQ/USP) and USDA, Agricultural Marketing Service.

The share of soybean exports transported by barge has grown significantly. From 2010 to 2023, barge transport's share increased from 8 percent to 12 percent, while total barged soybean export volumes more than quadrupled. This shift was particularly notable in Mato Grosso, where truck shipments to the port of Miritituba, Pará, increased following the completion of pavement on highway BR-163, which connects the port to Sorriso (northern mt). From Miritituba, soybeans are transported via the Tapajós River—a major tributary of the Amazon River—to the ports of Santarém and Barcarena.

Between January and September 2024, Mato Grosso accounted for 27 percent (24.2 mmt) of Brazil's total soybean exports. Of this volume, 43 percent was shipped to the port of Santos, while 46 percent was sent to northern ports, including Barcarena (29 percent), Manaus (10 percent), and Santarém (7 percent). The next highest soybean-exporting states, in descending order, were Paraná, Goiás, Minas Gerais, Rio Grande do Sul, and Mato Grosso do Sul.

Figure 11

Brazil's Soybean Exports by Port



Notes: Table defining routes by number is shown on page 13. Regions comprised about 78 percent of Brazilian soybean production, 2022 (Brazilian Institute of Geography and Statistics—Produção Agricola Municipal).
Source: University of São Paulo, Escola Superior de Agricultura "Luiz de Queiroz," Brazil (ESALQ/ USP) and USDA, Agricultural Marketing Service.

Source: Comex Stat, Minesterio da Econmica and USDA, Agricultural Marketing Service

Figure 12

Costs of Transporting Brazilian Soybeans from the Southern Ports to Shanghai, China, 2023-24

	North MT - Santos by truck			Northwest RS - Rio Grande		
	—US$/mt—		% Change	—US$/mt—		% Change
	3rd qtr. 2023	3rd qtr. 2024	2023-24	3rd qtr. 2023	3rd qtr. 2024	2023-24
Truck	113.56	82.31	-27.5	35.89	26.79	-25.4
Ocean	37.00	36.00	-2.7	38.50	36.50	-5.2
Total transportation	150.56	118.31	-21.4	74.39	63.29	-14.9
Farm gate price	399.94	366.60	-8.3	469.48	358.95	-23.5
Landed cost	550.51	484.91	-11.9	543.87	422.24	-22.4
Transport % of landed cost	27.4	24.4	-10.8	13.7	15.0	9.6
	North MT - Santos by rail			**North MT - Paranaguá**		
	—US$/mt—		% Change	—US$/mt—		% Change
	3rd qtr. 2023	3rd qtr. 2024	2023-24	3rd qtr. 2023	3rd qtr. 2024	2023-24
Truck	40.22	28.22	-29.8	112.54	80.92	-28.1
Rail	58.44	43.01	-26.4	-	-	-
Ocean	37.00	36.00	-2.7	37.50	37.50	0.0
Total transportation	135.66	107.23	-21.0	150.04	118.42	-21.1
Farm gate price	399.94	366.60	-8.3	399.94	366.60	-8.3
Landed cost	535.60	473.83	-11.5	549.99	485.02	-11.8
Transport % of landed cost	25.3	22.6	-10.7	27.3	24.4	-10.5

Producing regions: MT= Mato Grosso and RS = Rio Grande Do Sul.
Export ports = Santos, Rio Grande, and Paranaguá.
The source of the farm gate price is the Brazilian Government, Companhia Nacional de Abastecimento (CONAB).
In Brazil, there are no published rail tariff rates. Rail rates can be up to 30 percent lower than truck rates, depending on the volumes hauled and the terms of contracts signed between the railroad company and shippers.
Note: qtr. = quarter. mt = metric ton. A hyphen in an otherwise empty cell denotes that the data are not available.
Source: University of São Paulo, Escola Superior de Agricultura "Luiz de Queiroz," Brazil (ESALQ/ USP) and USDA, Agricultural Marketing Service.

Source: CONAB Data, University of Sao Paulo Escola Superior de Agricultura and Agricultural Marketing Service Chart

Red Flags for the Industry Remain in 2025/26

Brazil continues to depend heavily on trucks to transport grain to major destinations. This dependence is ensured for some time, due to the long distances that separate major production regions from terminals for barge and rail. This dependency is further ensured by limited rail and inland waterway infrastructure capacity (ESALQ/USP). To overcome this limitation, the Brazilian government enacted a new legal framework for railways and changed its cabotage law to enable private-sector investment and increase the Brazilian transportation sector's competitiveness internationally.

Trucking Shortage

Even with the significant improvements in infrastructure over the last several years, transportation remains a main challenge to producers and exporters in Brazil. During recent conversations with producers, industry associations and exporters, transportation of soybeans is the main concern for the 2025/26 marketing season. This is due to the forecasted record production of commodities that would place a strain on available trucks and shipping logistics at the same time, including soybeans, soybean meal, corn, and sugar. Many producers reported to Post that they have had issues with contracting trucks for this year's harvest, resulting in a shortage of available trucks. Producers have reported to Post that to combat the shortage of trucks they have recently built more on farm storage capacity to hold soybeans and ship them when trucks become available. The producers reported being able to do this recently due to the record prices and profits earned through 2021-2023.

Infrastructure Disruptions

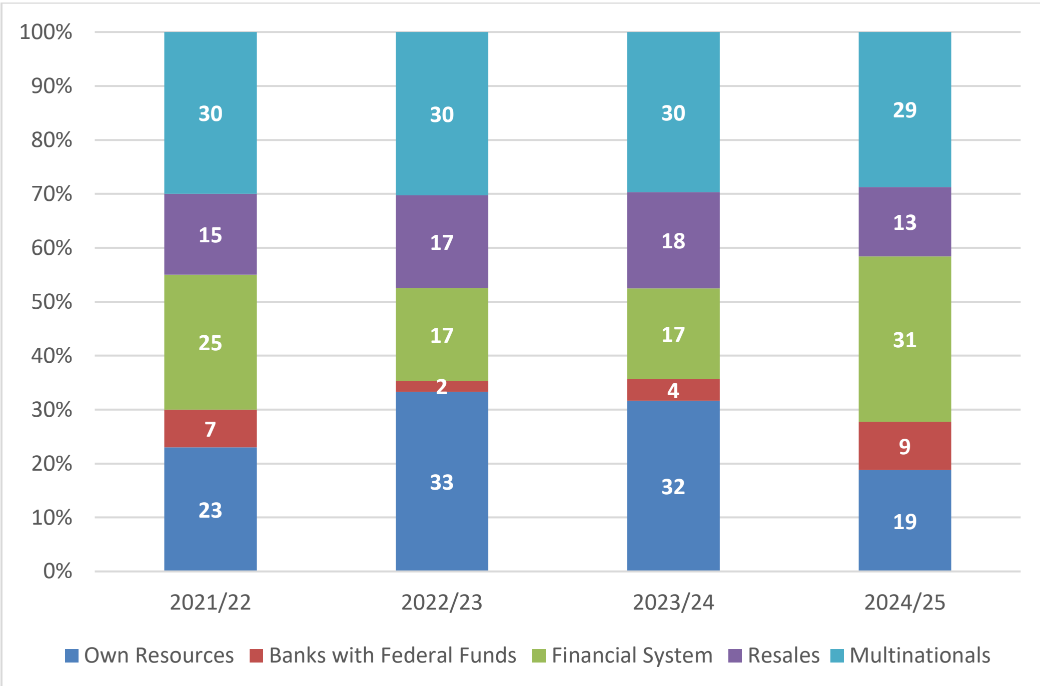
Brazil has made substantial improvements to its infrastructure in recent years. However, it continues to depend heavily on trucks to transport soybeans and grains to major destinations. This dependence poses challenges and risks to the industry. The potential risk of delivery disruptions has ramifications for landed costs, forward contracts, and on the bottom line for producers.

Financing Constraints

Similarly, basic interest rates (known as SELIC, in Portuguese) remain high – currently at 13.25 percent, as a lag from high inflation during the last couple of months at 4.56 percent in a 12-month cumulative –, making access to credit more expensive. Brazilian agriculture is heavily dependent on credit, and the financial aftermath of the 2024/25 season will be key to determine the cost of borrowing money to cover MY 2025/26 expenses. In 2024, many producers appealed to Judicial Recuperation in Brazil, a movement to help control their finances and pay off their debt. Additionally, several Post contacts have reported an increasing likelihood of more farmers declaring bankruptcy. If confirmed, access to credit—both private and public—could become even more expensive and restricted, discouraging risk-taking and leading to lower investments in area expansion, technology, and inputs for the next season.

The graph below shows producers in Mato Grosso on average over the last four years have spent 27 percent of their private funds to finance soybean planting. However, in the current season, it dropped to 19 percent. In the current season, producers relied more on funding from the financial system than previous seasons. This can be attributed to the decrease in soybean prices which led to farmers having less personal resources to finance production.

Figure 13
Types of Funding Used by Soybean Growers in Mato Grosso



Source: Data from IMEA | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

Looking ahead to next season, the Brazilian government recently issued Provisional Measure (MP) 1,289, allocating 4.18 billion BRL in credit to ensure funding for the 2024/2025 annual farm bill (*Plano Safra*). *Plano Safra* operates on a July 1 – June 30 fiscal year. The measure, signed by President Lula and Ministry of Planning and Budget, aims to maintain access to rural and agribusiness credit. The government justifies the urgency due to food security risks and economic changes, emphasizing that the spending complies with the fiscal limits of the 2023 Fiscal Framework Law.

Cost of Production: Brazilian farmers have experienced a significant increase in production costs over the past several seasons. According to IMEA, between the 2021/22 and 2022/23 seasons, production costs in Mato Grosso rose by more than 50 percent. However, for the 2023/24 season, total operating costs saw a slight decline of 1 percent, with a further projected decrease of 2 percent for 2024/25. This decline can be attributed primarily to reductions in fertilizer costs, crop protection expenses, lease payments, and classification and storage costs. However, some cost components have continued to rise, including labor, maintenance of equipment and installations, and fixed costs of production. Additionally, fluctuations in exchange rates continue to impact overall farm input expenses, as many inputs are imported.

Figure 14
Cost of Production of Soybeans in Mato Grosso

Estimated Production Costs for Biotech Soybeans Varieties in Mato Grosso (Reals per ha)	**2023/24**	**2024/25**	**% Δ**
Variable Cost of Production			
Variable Costs of Production (on Farm)			
seeds	668.4	678.2	1%
fertilizers	1805.0	1719.9	-5%
crop protection (herbicides, fungicides, insecticides)	1304.8	1162.6	-11%
machinery operation	180.3	183.2	2%
Outsourcing Services	15.5	17.8	15%
labor	150.5	208.2	38%
Variable Costs of Production (ex-Farm)			
maintenance of equipment and installations	197.2	263.2	33%
taxes and tariffs	207.9	235.7	13%
insurance and financing costs	433.3	410.4	-5%
classification, processing	54.1	41.7	-23%
transport	121.5	140.4	16%
storage	14.5	8.2	-44%
other costs	143.7	133.8	-7%
lease	337.0	291.5	-13%
Fixed Costs of Production	**504.8**	**603.8**	20%
depreciation	417.2	485.8	16%
other fixed costs	87.5	118.0	35%
Total Operating Costs	**6138.5**	**6098.8**	-1%
Opportunity Cost	**1137.8**	**1012.3**	-11%
Total Cost (Operating Cost and Income Factors)	**7276.3**	**7111.1**	-2%
*All costs cited in Brazilian Real for February 2024 and projected February 2025.			

Source: IMEA

Domestic Consumption and Processed Products

Soybean Crush Industry to Grow Slower in 2025/26 and on Trend in 2024/25

Post forecasts 57 mmt of soybeans destined for processing in the 2025/26 MY, an increase of one percent from the 2024/25 estimate of 56.55 mmt. The forecast expansion is below the increase from the previous season of three percent. The expansion is based on available soybean supply and rising demand for both soy oil and soymeal domestically, as well as export demand which will be supported by the continued weakness of the Brazilian real.

Post forecasts 2025/26 soybean meal production at 43.89 mmt, up from the estimated 43.54 mmt in 2024/25. Domestic soymeal consumption is forecast to increase by less than one percent in the current and next seasons. Post anticipates domestic meal demand will grow in line with a recent increase in beef and pork production.

Post forecasts 2025/26 soy oil production at 11.4 mmt. Domestic oil consumption is expected to increase to 10.1 mmt, up from 9.85 mmt in the current season.

Post expectations for higher oil production and consumption are based mostly on biodiesel blending mandates. In March 2023, Brazil announced plans to incrementally increase its biodiesel blending mandate, aiming for a 15 percent blend (B15) by 2026. The schedule proposed an increase to 13 percent in April 2024, 14 percent in 2025, and reaching 15 percent in 2026. However, in February 2025, the National Energy Policy Council (CNPE) decided to maintain the biodiesel blend at 14 percent, postponing the anticipated 15 percent increase.

This is reflected in Posts 2025/26 lower than five-year average increase to the crushing forecast of 57 mmt, explained above. As a reflection of this decision, Brazil's diesel fuel composition has undergone adjustments. The current blend consists of approximately 80% domestically produced diesel, 14% biodiesel, and a minimal percentage of imported diesel. Diesel imports are expected to remain at historically high levels in 2025 due to growing domestic demand. While imported diesel is generally more expensive than biodiesel, the increased domestic production and blending rates aim to mitigate reliance on imports, potentially stabilizing fuel prices.

In addition to the impact of blending rate, biodiesel demand is also projected to rise as economic and commercial activity picks up post-pandemic. According to Brazil's National Agency of Petroleum, Natural Gas and Biofuels (ANP), each percentage increase in the blend rate represents about 600 million liters of additional biodiesel production annually. In Brazil, about 80 percent of biodiesel is derived from soybean oil, with the remainder made from beef tallow, sunflower oil, and several other sources. A lower blend rate remains a risk for the industry – one that is unlikely to come to pass but would have significant ramifications if it does. According to Abiove, there are about 50 biodiesel plants spread across the country, with the capacity to process enough soybeans into oil to meet a blending rate of 22 percent (B22).

Trade

Soybean and Soybean Meal Exports in 2025/26 Forecast Up

Soybean exports in the 2025/26 marketing year (MY) are forecast at 112 mmt, nearly 5 mmt higher than in the current MY. Despite lower export numbers in the early months of 2025, Brazil's soybean exports in MY 2024/25 are expected to reach 108 million tons, a 9 percent increase compared to the 98.813 million tons recorded in 2023/24. The forecast is based on available supplies and a favorable exchange rate.

For 2025, the Brazilian Central Bank forecasts GDP to grow 2.01 percent and 1.7 percent in 2026. Notably, unlike a multitude of other sectors, soybean consumption has limited elasticity, particularly in the main importing hubs of China and Europe.

After an estimated decline in soybean meal exports in 2024/25, Post projects soybean meal exports to rise again by approximately 8 percent to 23.2 mmt for 2025/26, driven by available supply and strong export demand, further supported by the continued weakness of the Brazilian real. In recent years, nearly 50 percent of Brazil's soymeal exports have been directed to the EU. Redirecting such a significant portion of these shipments elsewhere would be challenging. Post considers this scenario unlikely due to the mutual dependence between exporters and importers and the new trade ties that will emerge with the new EU-Mercosur free trade agreement. Brazil has limited alternative markets for its soymeal outside the EU. European buyers also have a restricted pool of suppliers; a change to the soymeal export scenario is extremely remote.

For MY 2025/26 post estimates soy oil exports to increase to 1.55 mmt, up by 3.3 percent compared to 1.50 mmt for MY 2024/25. In 2024, India remained the number one destination for Brazil soy oil exports. Post estimated that the destination scenario will remain the same in 2025.

Figure 15
Brazil's Top 10 Soybean Export Markets

Brazil's Top 10 Soybean Export Markets in 2024 (mmt)			
	2020	**2024**	**5-yr total Δ**
China	60.6	72.5	19.67%
Spain	2.8	4.2	48.44%
Thailand	2.6	3.5	33.91%
Turkey	2.1	2.3	8.64%
Iran	0.7	1.8	158.30%
Mexico	0.8	1.6	89.02%
Taiwan	1.0	1.4	47.85%
Bangladesh	0.7	1.1	59.50%
Russia	1.1	1.1	0.54%
Netherlands	3.3	1.1	-67.52%

Source: Trade Data Monitor

The European Union (EU) remains a significant market for Brazilian soybeans, accounting for approximately 14 percent of Brazil's soybean and derivative exports.

Environmental concerns, particularly regarding deforestation linked to soybean cultivation, have intensified scrutiny of Brazil's agricultural practices. In response, the EU has implemented stringent measures to combat deforestation. On December 30, 2025, the EU will permit only deforestation-free products, including soybeans, to enter its market. Post estimates show these measurements will have a null impact on the level of Brazilian soybeans exports to the EU, especially with the new EU and Mercosur trade agreement. After 25 years of negotiations, the EU and Mercosur—which includes Brazil, Argentina, Paraguay, and Uruguay—finalized a free trade agreement in December 2024. This accord seeks to create a market encompassing over 700 million people, with provisions to phase out duties on 91 percent of EU exports to Mercosur and 92 percent of Mercosur exports to the EU.

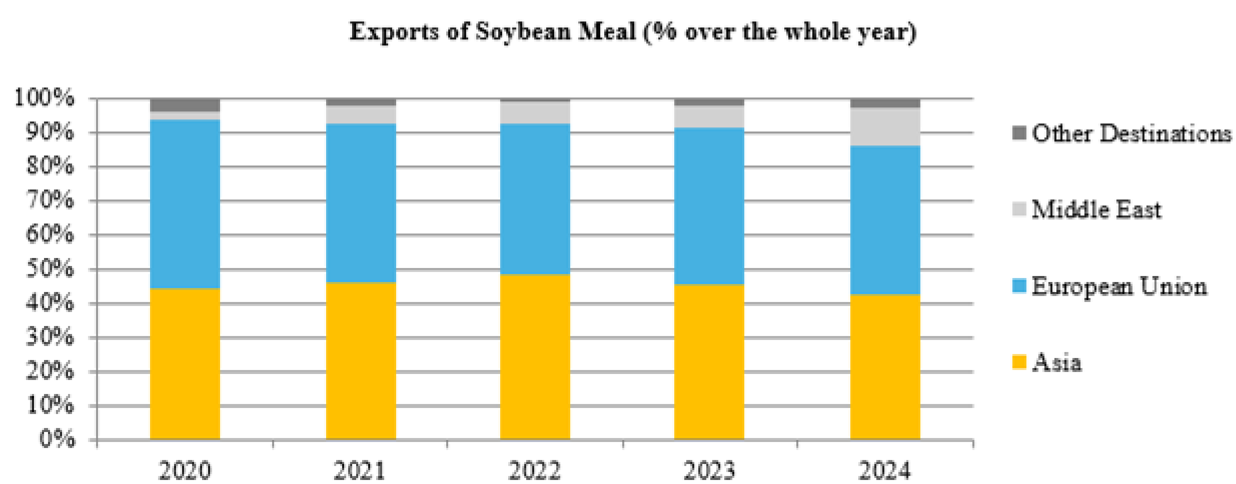
<u>Current Soybean Export Season off to a slow start</u>

The 2024/25 marketing season is progressing but is still experiencing fewer exports than originally anticipated due to several reasons including a delay in the harvest season. As of February 23, the harvest has reached 36 percent of the projected 47.4 million ha, slightly behind last year's 38 percent pace. Prices are currently 17 percent higher for soybeans than at the start of last season, mostly due to exchange rate fluctuation, but part of this could also be attributed to lack of supply to cover the current demand, especially in Asia, as well as stockpiling.

As previously stated, Brazil export levels in the first months of 2025 experienced a significant decline, compared to the same period of the previous year. In January, Brazil exported 1.07 mmt of soybeans, a decrease of 62 percent when compared to 2.85 mmt in January 2024. This is according to estimates by the National Association of Cereal Exporters (ANEC), which calculates its projections based on official information on shipments and on the schedule of Brazilian ports. This is similar for soybean meal exports. Brazil exported 1.6 mmt of soybean meal in January 2025, compared to 1.8 mmt in January 2024, a decrease of 12 percent.

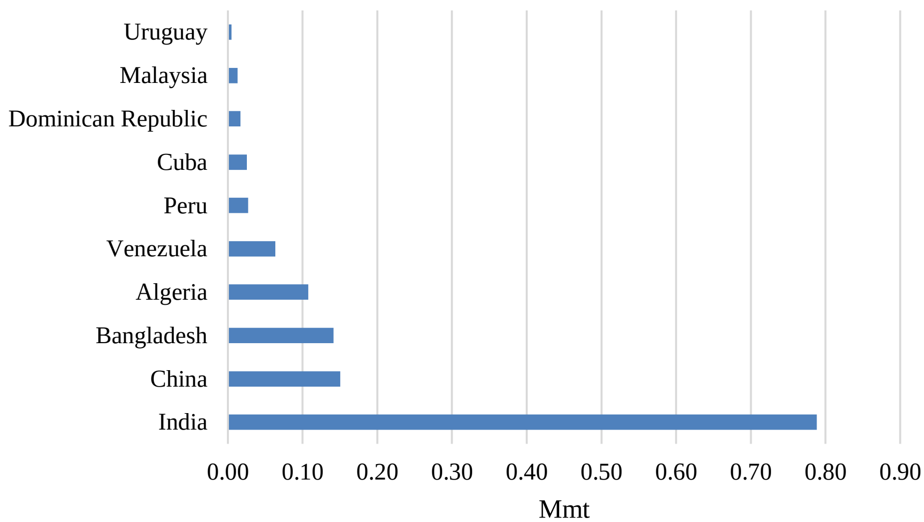
Post increased the soybean export forecast for the 2024/25 season to 108.3 mmt. This is due to high levels of production, a decrease in expected levels of ending stocks and crushing numbers remaining the same.

Figure 16
Brazil's Soybean Meal Exports



Source: Abiove | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA)

Figure 17
Brazil's Soy Oil Export Markets in 2024



Source: Trade Data Monitor

Soybean Imports to Remain Steady in 2025/26

Post forecasts soybean imports to remain relatively low for MY 2025/26 at 150,000 mt. During the 2023/24 marketing year, Brazil experienced a significant spike in soybean imports, reaching a total of 822,000 mt. This increase in import numbers does not necessarily correlate with domestic production and harvest levels. According to Abiove, the soybeans imported by Brazil come from neighboring South American countries. This importation represents a market opportunity for supplementation, especially in a year when Brazil has carried out large exports and increased soybean crushing, mainly for biodiesel production. On March 6, 2025, the Government of Brazil implemented a zero-tariff policy on the import of certain commodities, including soybeans. While this measure could potentially encourage higher import levels, most soybean imports already come from countries within the Mercosul trade bloc, which are already covered by zero-tariff agreements. Therefore, Post estimates this policy will have little to no impact on the volume of soybean imports.

Soybean Stocks

Post forecasts ending stocks will continue to remain low in the 2025/26 marketing season for soybeans, soybean oil and soybean meal. The MY 2025/26 ending stock estimate for soybeans is 4.7 mmt; 340,000 mt for soybean oil; and 1.3 mt for soybean meal. This is due to strong international demand, less production in other producing countries and the expected increase from the biofuel mandate.

Table 1

Soybean Production, Supply, Distribution

Oilseed, Soybean (Local)	2023/2024		2024/2025		2025/2026
Market Year Begins	Jan 2024		Jan 2025		Jan 2026
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (1000 ha)	46100	46100	47400	47300	48200
Area Harvested (1000 ha)	46100	46100	47400	47300	48200
Beginning Stocks (1000 mt)	7971	7971	4230	4230	4930
Production (1000 mt)	153000	153000	169000	169500	173000
MY Imports (1000 mt)	822	822	150	150	150
Total Supply (1000 mt)	161793	161793	173380	173880	178080
MY Exports (1000 mt)	98813	98813	108000	108300	112000
Crush (1000 mt)	55000	55000	56000	56550	57000
Food Use Dom. Cons. (1000 mt)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 mt)	3750	3750	4000	4100	4380
Total Dom. Cons. (1000 mt)	58750	58750	60000	60650	61380
Ending Stocks (1000 mt)	4230	4230	5380	4930	4700
Total Distribution (1000 mt)	161793	161793	173380	173880	178080
Yield (mt/ha)	3.3189	3.3189	3.5654	3.5835	3.5892
(1000 ha) ,(1000 mt) ,(mt/ha)					

Table 2

Soybean Oil Production, Supply, Distribution

Oil, Soybean (Local)	2023/2024		2024/2025		2025/2026
Market Year Begins	Jan 2024		Jan 2025		Jan 2026
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 mt)	55000	55000	56000	56550	57000
Extr. Rate, 999.9999 (PERCENT)	0.2	0.2	0.2	0.2	0.2
Beginning Stocks (1000 mt)	503	503	586	550	550
Production (1000 mt)	11000	11000	11200	11310	11400
MY Imports (1000 mt)	100	100	25	40	40
Total Supply (1000 mt)	11603	11603	11811	11900	11990
MY Exports (1000 mt)	1367	1367	1550	1500	1550
Industrial Dom. Cons. (1000 mt)	5500	5836	5700	5950	6150
Food Use Dom. Cons. (1000 mt)	4150	3850	4225	3900	3950
Feed Waste Dom. Cons. (1000 mt)	0	0	0	0	0
Total Dom. Cons. (1000 mt)	9650	9686	9925	9850	10100
Ending Stocks (1000 mt)	586	550	336	550	340
Total Distribution (1000 mt)	11603	11603	11811	11900	11990
(1000 mt) ,(PERCENT)					

Table 3

Soybean Meal Production, Supply, Distribution

Meal, Soybean (Local)	2023/2024		2024/2025		2025/2026
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**
Crush (1000 mt)	55000	55000	56000	56550	57000
Extr. Rate, 999.9999 (PERCENT)	0.77	0.77	0.77	0.77	0.77
Beginning Stocks (1000 mt)	2475	2475	1704	2412	2462
Production (1000 mt)	42350	42350	43120	43545	43890
MY Imports (1000 mt)	17	17	10	5	5
Total Supply (1000 mt)	44842	44842	44834	45962	46357
MY Exports (1000 mt)	23138	23138	21500	22000	23200
Industrial Dom. Cons. (1000 mt)	0	0	0	0	0
Food Use Dom. Cons. (1000 mt)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 mt)	20000	19292	21000	21500	21800
Total Dom. Cons. (1000 mt)	20000	19292	21000	21500	21800
Ending Stocks (1000 mt)	1704	2412	2334	2462	1357
Total Distribution (1000 mt)	44842	44842	44834	45962	46357
(1000 mt) ,(PERCENT)					

PEANUT SECTOR

Area, Production and Yields

Peanut area will expand in Brazil, mainly in the State of Mato Grosso do Sul.

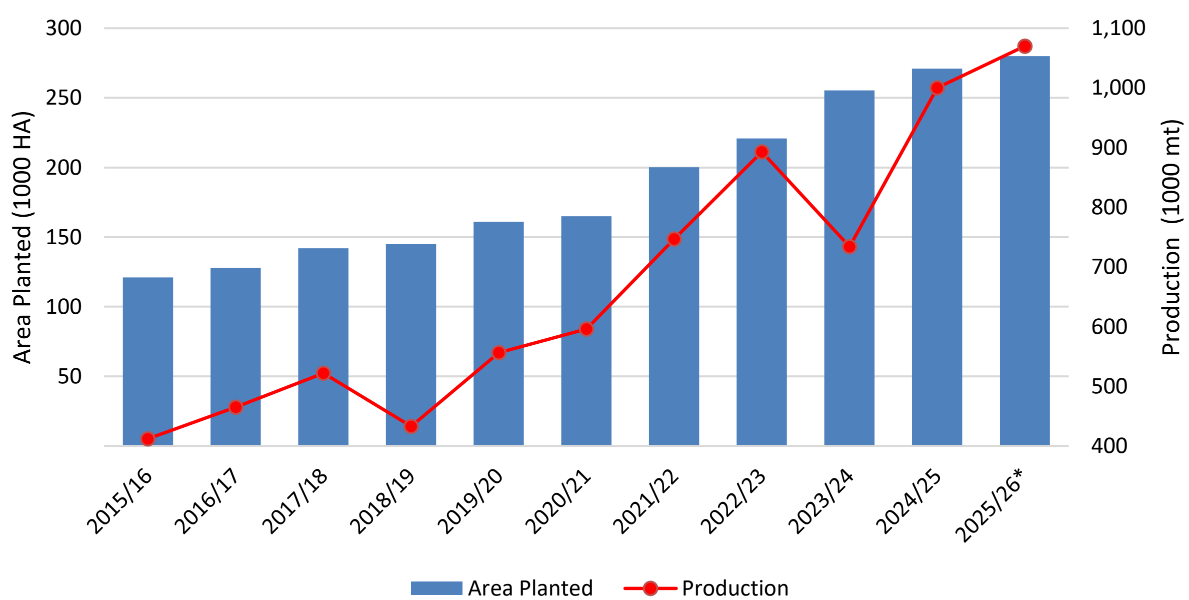
For MY 2025/26, Post estimates Brazil's total peanut planted area will increase to 280,000 ha, with production reaching an all-time high of 1.07 mt, assuming normal weather conditions. These numbers suggest a projected yield of 3.8 mt/ha, representing a slight increase of 0.2 mt/ha compared to historical trends. This is based on increased demand for peanut oil, which led to planted area growth in the states of Sao Paulo and Mato Grosso do Sul.

According to CONAB, Mato Grosso do Sul has experienced significant growth in peanut cultivation. The 2024/25 harvest is estimated at 42,300 ha, nearly double the previous season's area of 21,200 ha. Although this represents significant growth for the state of Mato Grosso do Sul, the total peanut production area in Brazil continues to expand slowly.

Post revised up the MY 2024/25 total peanut planted area to 271,000 ha, a six percent increase compared to MY 2023/24, at 255,000 ha. This expansion reflects steady growth in Brazil's peanut production area, which has more than doubled over the past decade.

Figure 18

Peanut Planted Area and Production in Brazil

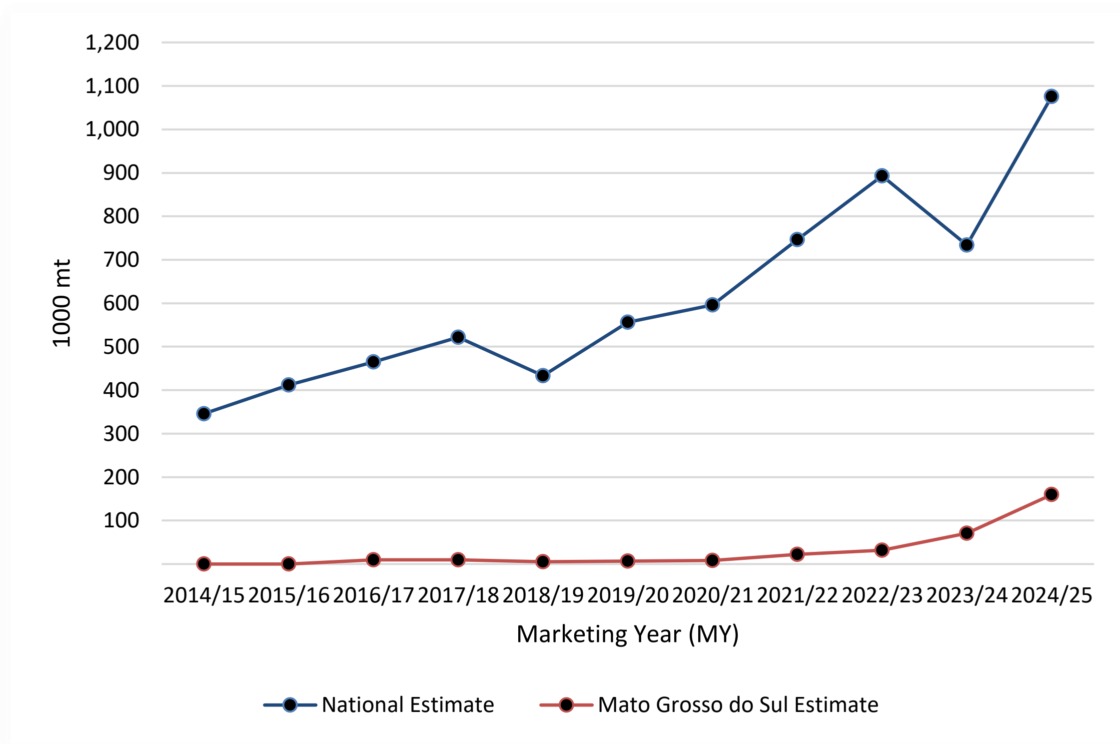


Source: CONAB. Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

The increase in productivity is driven by several factors. This includes the adoption of genetically improved seeds, with more than 70 percent of Brazilian peanut producers now using high-quality seeds, potentially increasing crop yields by 5–20 percent. Another key growth contributor is the investment made by the government of Mato Grosso do Sul, which recently signed a fiscal incentive agreement with CASUL, a cooperative from São Paulo, to establish the state's first peanut processing industry with an investment of R$ 117.5 million.

The project aims to diversify the state's agricultural production, already the second-largest peanut producer and is set to be implemented in three phases between 2024 and 2027. The initiative also focuses on job creation, adding value to local products, and promoting sustainability by irrigation and soil recovery programs.

Figure 19
Brazil and Mato Grosso do Sul Production of Peanuts Comparison



Source: CONAB. Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

The state of São Paulo remains responsible for over 90 percent of Brazil's total peanut production during the first harvest. This dominance is largely due to the practice of alternating peanut cultivation with sugarcane during the off-season. Peanuts play a role in soil recovery by fixing nitrogen, while also being tolerant to various pests. Peanuts help break cycles of pest and disease infestations, as well as suppress invasive plant growth in areas cultivated with other crops. Additionally, São Paulo benefits from a more stable climate compared to other sugarcane-growing states in the Northeast, making crop rotation with peanuts far less common in states like Bahia.

Proximity to processing facilities, confectionery, vegetable oil industries, and ports benefits São Paulo producers by reducing costs for domestic buyers and international traders.

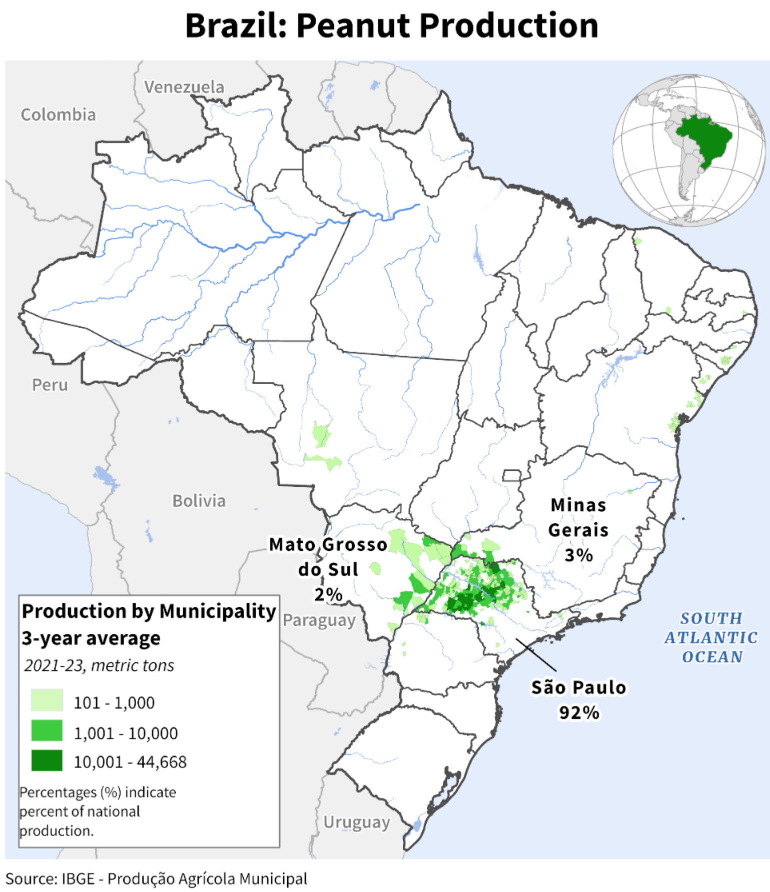
Peanut Harvest to Expand on Trend in MY 2025/26

Post estimates the total area harvested to reach 280,000 ha in MY 2025/26. This number represents a 3 percent increase compared to Post's new revised number for MY 2024/25, at 271,000 ha.

According to data from the Agricultural Economy Institute (IEA), peanut production in São Paulo has grown by an average of 11 percent annually over the past decade, driven by expanding planted areas and improving yields. For MY 2015/16, the average yield was of 3.3 mt/ha, increasing to a projected 3.8 mt/ha for MY 2025/26. Over this period, the state of Sao Paulo has improved mechanized peanut harvesting, significantly reducing labor costs while improving efficiency and profitability. Faster harvesting has enhanced peanut quality by minimizing the time crops remain in the field, reducing their exposure to adverse weather conditions.

Peanut production also takes place in Paraná, primarily among subsistence farmers, as well as in Rio Grande do Sul, Mato Grosso, and Minas Gerais, the second-largest peanut producer in Brazil. Recently, Mato Grosso has shown significant growth potential due to its vast availability of farmland. Industry experts note that in Mato Grosso, peanuts are an alternative to second season crops like corn, sesame, and chickpeas. Additionally, peanut cultivation could occur as a third crop when grown on irrigated farms.

Figure 20
Map of Peanut Production in Brazil



Source: Brazilian Institute of Geography and Statistics (IBGE) Data and USDA International Production Assessment Division Map

Brazil Domestic Peanut Consumption

Post forecasts total domestic peanut consumption in MY 2025/26 to reach 623,000 mt, an 11 percent increase from the current marketing year.

The rise in domestic consumption in Brazil is primarily driven by growing demand from the dietary, health, and chocolate industries, as highlighted by the Brazilian Association of the Chocolate, Peanut, and Candy Industry (ABICAB). Domestic consumption of peanut oil is expected to remain stable at approximately 6,000 mt for MY 2025/26. Post revises up the domestic consumption estimate of peanut oil in MY 2024/25 from 5,000 mt to 6,000 mt.

The Brazilian peanut industry benefits from support provided by the Food Technology Institute (ITAL-APTA), which ensures quality control through laboratory analyses accredited by the Pro-Peanut Program. This program, endorsed by ABICAB, certifies products based on regulations established by the National Health Surveillance Agency (ANVISA) and the Ministry of Agriculture, Livestock, and Supply (MAPA). Additionally, ITAL promotes technical research on production sustainability, including the reuse of industry by-products such as shells and oil for new product development. It also facilitates the promotion and sale of equipment to small and medium-sized processors.

Peanut meal consumption is also rising, driven by increasing demand from the livestock industry and on available supplies. Faced with rising feed costs due to inflation, livestock producers are turning to alternative protein sources like peanut meal and cottonseed. If peanut meal proves to be a viable solution to offset feed costs, it could increase demand for meal exports. For MY 2025/26, post forecasts peanut meal production to reach 193 mt with nearly the entire production being consumed domestically.

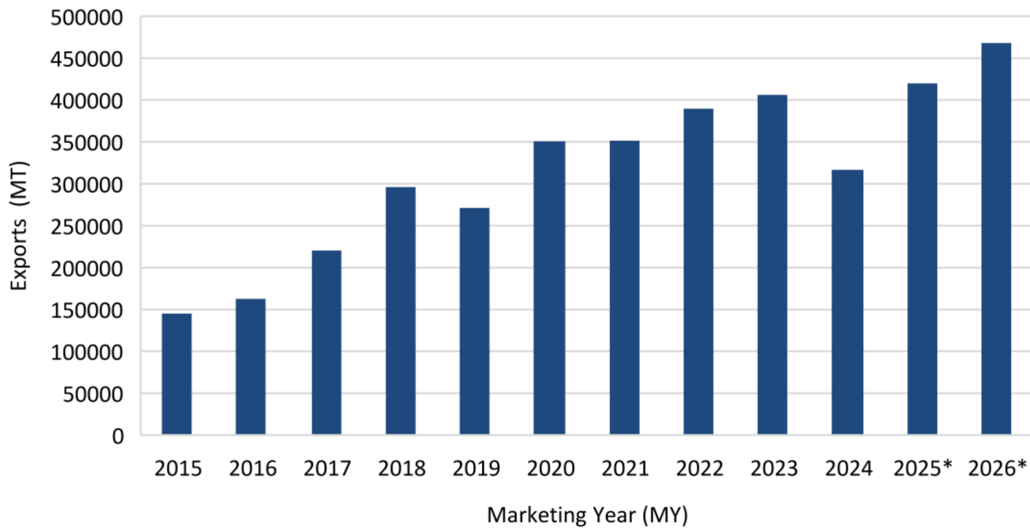
Brazil’s domestic peanut consumption is on an upward trajectory, fueled by expanding processing for export markets and stable domestic demand. The industry's growth is further supported by initiatives focused on quality control, sustainability, and technological advancements.

Shelled Peanut Exports

Post forecasts peanut exports to reach 468,000 mt in MY 2025/26, solidifying Brazil’s position among the world’s top five exporters of shelled peanuts. Although revised estimates indicate a 20 percent decline in shelled peanut exports in MY 2023/24 compared to MY 2022/23—primarily due to weather instability caused by the El Niño season—Brazil is estimated to have already regained its upward trend in peanut exports in MY 2024/25, with Post’s revised total estimated exports at 435,000 mt.

The majority of Brazil’s peanut exports consist of shelled varieties (HS120242), with key buyers including Russia, the EU-27, and Algeria.

Figure 21
Brazil's Shelled Peanut Exports



Source: Foreign Trade Secretariat, Ministry of Economy (SECEX) Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

In 2024, Brazil exported $360 million worth of peanuts at an average price of $1,136 per ton, reflecting a 4 percent price increase compared to 2023, when the average price was $1,092 per ton. This price increase was largely driven by rising demand and an anticipated supply shortage due to adverse weather conditions.

Peanut Oil Exports

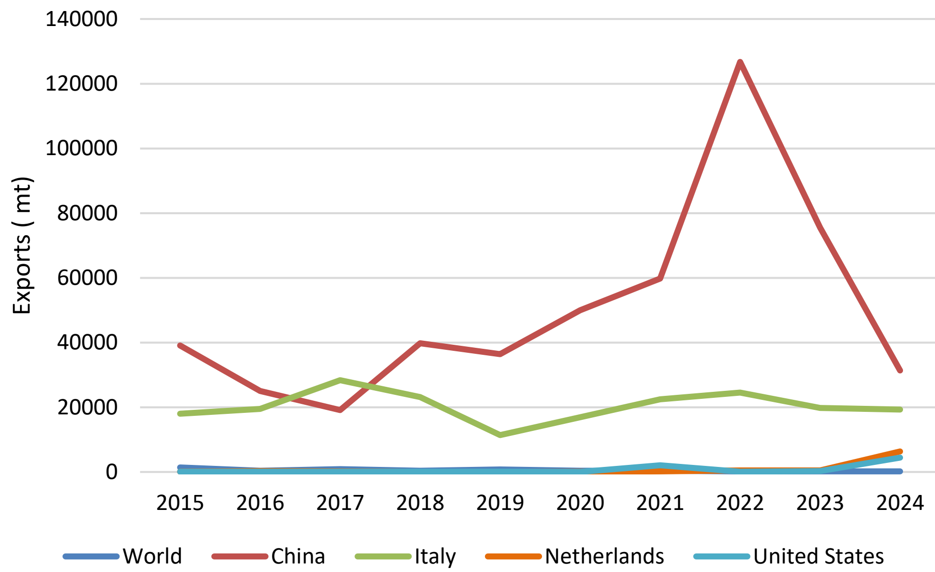
Brazil remains one of the world's top exporters of peanut oil, particularly for the pharmaceutical sector. However, Brazil continues to face challenges in advancing its processing equipment. For MY 2025/26, Post forecasts peanut oil exports to reach 174,000 mt, surpassing the export volume of MY 2022/23, when Brazil became the world's leading peanut oil exporter with over 152,000 mt, driven by a favorable exchange rate and rising prices at the time.

In 2024, the international peanut oil market experienced a sustained downward price trend, influenced by factors such as anticipated oversupply from countries like India and strategic positioning by emerging producers. This price decline made Brazilian exports less competitive. Additionally, harvest delays caused by weather instability also impacted the level of exports.

Despite a significant drop in peanut oil exports in 2024, China remained the top destination for Brazilian peanut oil, accounting for more than half of total exports, with imports reaching 31,000 mt. Notably, in the same year, the United States emerged as one of the top four importers, with imports exceeding 4,000 mt. For MY 2024/25, Post's revised estimates indicate total exports will reach 164,000 mt—an increase of over 160 percent compared to the previous year.

Figure 22

Top Destinations of Brazil's Peanut Oil Exports



Source: Foreign Trade Secretariat, Ministry of Economy (SECEX) Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

Table 4

Peanut Production, Supply, Distribution

Oilseed, Peanut	2023/2024		2024/2025		2025/2026
Market Year Begins	Jan 2024		Jan 2025		Jan 2026
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Area Planted (1000 HA)	255	255	280	271	280
Area Harvested (1000 HA)	255	255	280	271	280
Beginning Stocks (1000 mt)	7	7	44	85	90
Production (1000 mt)	734	734	1100	1000	1070
MY Imports (1000 mt)	11	11	1	1	1
Total Supply (1000 mt)	752	752	1145	1086	1161
MY Exports (1000 mt)	318	318	550	435	468
Crush (1000 mt)	300	300	450	458	469
Food Use Dom. Cons. (1000 mt)	80	76	80	102	153
Feed Waste Dom. Cons. (1000 mt)	10	1	20	1	1
Total Dom. Cons. (1000 mt)	390	377	550	561	623
Ending Stocks (1000 mt)	44	85	45	90	70
Total Distribution (1000 mt)	752	780	1145	1086	1161
Yield (mt/HA)	2.8784	2.8784	3.9286	3.69	3.8214
(1000 HA) ,(1000 mt) ,(mt/HA)					

Table 5

Peanut Oil Production, Supply, Distribution

Oil, Peanut	2023/2024		2024/2025		2025/2026
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**
Crush (1000 mt)	300	300	450	458	469
Extr. Rate, 999.9999 (PERCENT)	0.3667	0.3667	0.36	0.3668	0.3667
Beginning Stocks (1000 mt)	4	4	42	52	50
Production (1000 mt)	110	110	162	168	172
MY Imports (1000 mt)	0	0	0	0	0
Total Supply (1000 mt)	114	114	204	220	222
MY Exports (1000 mt)	62	62	150	164	174
Industrial Dom. Cons. (1000 mt)	0	0	0	0	0
Food Use Dom. Cons. (1000 mt)	10	5	10	6	6
Feed Waste Dom. Cons. (1000 mt)	0	0	0	0	0
Total Dom. Cons. (1000 mt)	10	5	10	6	6
Ending Stocks (1000 mt)	42	52	44	50	42
Total Distribution (1000 mt)	114	119	204	220	222
(1000 mt) ,(PERCENT)					

Table 6

Peanut Meal Production, Supply, Distribution

Meal, Cottonseed	**2023/2024**		**2024/2025**		**2025/2026**
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**
Crush (1000 mt)	4500	4500	5025	5540	5650
Extr. Rate, 999.9999 (PERCENT)	0.4764	0.4764	0.4776	0.4747	0.4779
Beginning Stocks (1000 mt)	14	14	15	15	12
Production (1000 mt)	2144	2144	2400	2630	2700
MY Imports (1000 mt)	0	0	0	0	0
Total Supply (1000 mt)	2158	2158	2415	2645	2712
MY Exports (1000 mt)	1	1	0	1	1
Industrial Dom. Cons. (1000 mt)	0	0	0	0	0
Food Use Dom. Cons. (1000 mt)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 mt)	2142	2142	2400	2632	2699
Total Dom. Cons. (1000 mt)	2142	2142	2400	2632	2699
Ending Stocks (1000 mt)	15	15	15	12	12
Total Distribution (1000 mt)	2158	2158	2415	2645	2712
(1000 mt) ,(PERCENT)					

COTTON SEED SECTOR

Area, Production and Yield

Lower production costs should favor continued cotton area expansion in MY 2025/26

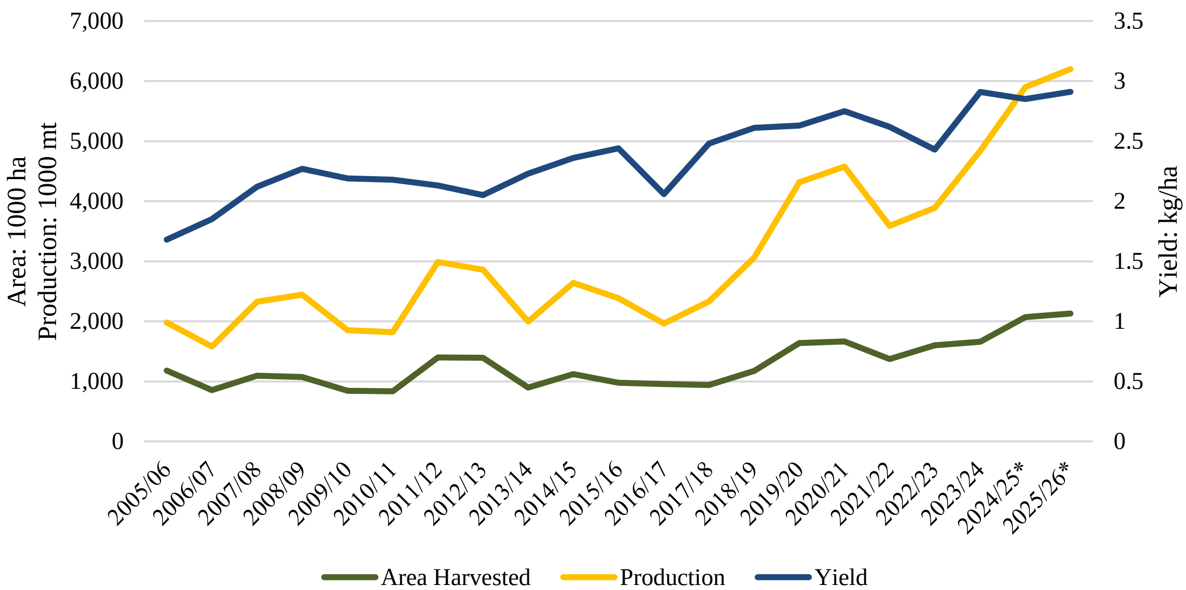
Post forecasts cottonseed MY 2025/26 production at 6.2 mmt due to the continued growth in cotton area across Brazil, forecasted at 2.13 million ha. This reflects a nearly three percent increase in area compared to the revised MY 2024/2025 estimate of 2.07 million ha, as well as five percent growth in cottonseed output in relation to last MY's estimate of 5.9 mmt.

A few factors are primarily responsible for cotton area expansion. First, the cost of production has decreased compared to last season thanks to relatively lower-priced inputs, further incentivizing production. As a highly input-dependent crop, cotton is significantly impacted by price changes. In addition, Brazil's cotton is highly industrialized and has made noteworthy advances in cultivation and harvest techniques over the past decade.

While area is forecast to increase, Post does not expect the expansion to be as significant as it was in the 2024/2025 marketing year. Improved corn prices in Mato Grosso, where cotton competes for area with second crop corn (known as *safrinha*), should incentivize some farmers to increase corn area over cotton. Meanwhile, cotton prices have slumped over the past year, decreasing nearly 40 percent.

Figure 23

Evolution of Cottonseed Planted Area, Production and Yield in Brazil (2005/06– 2025/26)



Source: FAS. Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA). Note: Data for the latest three MY of the series, marked with (*), considers Post's estimates and forecasts.

While area expansion could lead to a potential record in cottonseed output, MY 2025/26 yields are not expected to increase significantly. Post will continue to monitor weather conditions across Mato Grosso and Bahia – Brazil's largest cotton producing states – and could possibly revise yield estimates up in the coming months if weather proves to be better than anticipated.

It is important to highlight that as a byproduct, cottonseed production is not considered a primary commodity but rather, a result of cotton production. Growers are mainly focused on proceeds generated by cotton, rather than cottonseed. Brazil's cotton sector saw remarkable growth in the last decade, particularly in the last six seasons. Post believes that cotton production expansion was driven by the availability of ample arable land in key growing states, equipment capacity, and rising global cotton consumption, which spurred global cotton prices in the last few years. In Brazil, cotton is an export-driven sector, with nearly 70 percent of production exported. Therefore, international prices shape global demand and will likely continue to dictate the growth pace of Brazil's area expansion in the foreseeable future.

Figure 24

Evolution of International Cotton Prices at New York's ICE Futures (2019 - 2025)

Source: CEPEA. Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

<u>*Cottonseed Oil and Meal Uses in Brazil*</u>

As mentioned above, cotton is Brazil's principal product and economic driver for planting. However, byproducts of cotton processing also have value and are not discarded. Once extracted, cottonseeds can be crushed like other oilseeds. The byproducts, cottonseed oil and meal, have various uses. Cottonseed oil is the higher value product and is used as a cooking oil, in food processing, and as a biofuel. Meanwhile, cottonseed meal is principally used in animal feed where it adds bulk, fiber, and nutrients.

In 2024, cotton byproducts in Mato Grosso appreciated in value, according to the Mato Grosso Institute of Agricultural Economics (Imea). Cottonseed meal was priced at an average of R$736.02 per ton (USD$129.59) the week of November 22nd, the highest weekly average recorded in 2024. This is driven by the growing demand for animal feed ingredients, such as cottonseed cake, with an average price of R$760.56 (USD$130.81) per ton. In addition, cottonseed oil was trading at R$5,062.14 (USD$870.65) per ton, reaching the highest value since May 2023. The prices of cottonseed meal and oil are expected to increase further in the coming years, especially with consistent demand from the animal feed and vegetable oil industries.

Table 7
Cottonseed Production, Supply, Distribution

Oilseed, Cottonseed	**2023/2024**		**2024/2025**		**2025/2026**
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**
Area Planted (Cotton) (1000 HA)	1660	1660	1970	2070	2130
Area Harvested (Cotton) (1000 HA)	1660	1660	1970	2070	2130
Beginning Stocks (1000 mt)	173	173	164	164	239
Production (1000 mt)	4837	4837	5644	5900	6200
MY Imports (1000 mt)	0	0	0	0	0
Total Supply (1000 mt)	5010	5010	5808	6064	6439
MY Exports (1000 mt)	36	36	50	35	50
Crush (1000 mt)	4500	4500	5025	5540	5650
Food Use Dom. Cons. (1000 mt)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 mt)	310	310	425	250	440
Total Dom. Cons. (1000 mt)	4810	4810	5450	5790	6090
Ending Stocks (1000 mt)	164	164	308	239	299
Total Distribution (1000 mt)	5010	5010	5808	6064	6439
Yield (mt/HA)	2.9139	2.9139	2.865	2.8502	2.9108

(1000 HA) ,(RATIO) ,(1000 mt) ,(mt/HA)

Table 8
Cottonseed Oil Production, Supply, Distribution

Oil, Cottonseed	2023/2024		2024/2025		2025/2026
Market Year Begins	Jan 2024		Jan 2025		Jan 2026
Brazil	USDA Official	New Post	USDA Official	New Post	New Post
Crush (1000 mt)	4500	4500	5025	5540	5650
Extr. Rate, 999.9999 (PERCENT)	0.16	0.16	0.1602	0.1601	0.16
Beginning Stocks (1000 mt)	21	21	38	38	78
Production (1000 mt)	720	720	805	887	904
MY Imports (1000 mt)	9	9	1	1	0
Total Supply (1000 mt)	750	750	844	926	982
MY Exports (1000 mt)	2	2	15	8	9
Industrial Dom. Cons. (1000 mt)	495	495	515	560	584
Food Use Dom. Cons. (1000 mt)	215	215	245	280	310
Feed Waste Dom. Cons. (1000 mt)	0	0	0	0	0
Total Dom. Cons. (1000 mt)	710	710	760	840	894
Ending Stocks (1000 mt)	38	38	69	78	79
Total Distribution (1000 mt)	750	750	844	926	982
(1000 mt) ,(PERCENT)					

Table 9
Cottonseed Meal Production, Supply, Distribution

Meal, Cottonseed	2023/2024		2024/2025		2025/2026
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**
Crush (1000 mt)	4500	4500	5025	5540	5650
Extr. Rate, 999.9999 (PERCENT)	0.4764	0.4764	0.4776	0.4747	0.4779
Beginning Stocks (1000 mt)	14	14	15	15	12
Production (1000 mt)	2144	2144	2400	2630	2700
MY Imports (1000 mt)	0	0	0	0	0
Total Supply (1000 mt)	2158	2158	2415	2645	2712
MY Exports (1000 mt)	1	1	0	1	1
Industrial Dom. Cons. (1000 mt)	0	0	0	0	0
Food Use Dom. Cons. (1000 mt)	0	0	0	0	0
Feed Waste Dom. Cons. (1000 mt)	2142	2142	2400	2632	2699
Total Dom. Cons. (1000 mt)	2142	2142	2400	2632	2699
Ending Stocks (1000 mt)	15	15	15	12	12
Total Distribution (1000 mt)	2158	2158	2415	2645	2712
(1000 mt) ,(PERCENT)					

PALM OIL SECTOR

The cultivation of palm oil in Brazil is concentrated primarily in the Amazon region. The state of Pará is the country's leading producer, accounting for over 85 percent of total production followed by the states of Bahia, Roraima and Amapá.

On May 7, 2010, the Government of Brazil approved decree No. 7,172/2010, which established guidelines for sustainable palm oil cultivation in Brazil. This decree is included in the Sustainable Palm Oil Production Program (PSOP) and mandates new palm tree farms can only be established on already degraded lands, specifically those degraded before 2008. The focus of this decree is to prevent deforestation in the Amazon rainforest and promote sustainable agriculture. Producers must follow guidelines to be eligible for incentives and certifications like RSPO (Roundtable on Sustainable Palm Oil).

Palm oil trees start producing fruit three to four years after planting and can yield high oil content for around 25 years. The harvest process, which occurs year-round with harvest peaks between the months of July and September, is still heavily manual, with workers cutting the fruit bunches containing the oilseeds using specialized tools. The oil extraction process is very sensitive, as bunches must be processed within 24 hours to prevent spoilage and quality loss.

After the fruits are steam-sterilized to loosen the fruits and prevent spoilage, the same are separated from the bunches in a thresher, then sent to a digester, where they are heated and mashed. The pulp is mechanically pressed to extract crude palm oil (CPO), which is then clarified, filtered, and refined through processes like degumming, bleaching, and deodorization to produce Refined, Bleached, and Deodorized (RBD) Palm Oil. Meanwhile, the leftover kernels are crushed to obtain palm kernel oil (PKO), commonly used in cosmetics and soaps. The final products—CPO, RBD palm oil, and PKO—are widely used in food, cosmetics, and biofuel industries.

Planted Area Growth

Brazil is among the top 10 palm oil producers in the world, accounting for one percent of global production, with Indonesia and Malaysia leading, together accounting for approximately 85 percent of total global production.

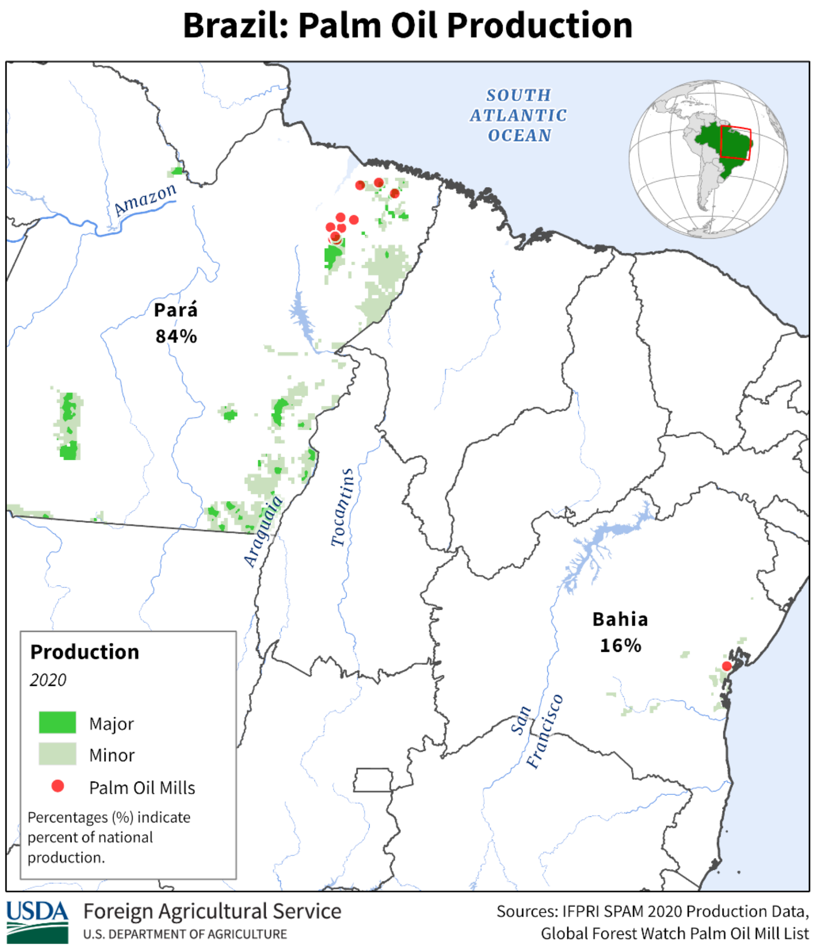
For MY 2025/26, Post forecasts Brazil will have 230,000 ha of palm tree planted area. This is a five percent increase over the total area planted in MY 2024/25, up from 220,000 ha.

According to Post contacts, Brazil's original plan to expand palm oil production and become a major exporter in the international market has recently diminished. This can be attributed to the change in priorities from the Government of Brazil. Currently, the National Program for Strengthening Family Agriculture (PRONAF) is the primary source of financing provided by the government. Although PRONAF has assisted many farmers in Brazil, the program was specifically designed to assist small producers, with a credit limit of R$250,000, which is insufficient for many palm oil producers given high production costs.

In November 2025, Brazil will host the COP 30 event in Belém do Pará, the leading state for palm oil production. Post contacts believe this event may bring positive attention to the palm oil sector and attract more investments and government support.

Based on recent data provided by EMBRAPA, palm trees can only be cultivated in specific areas, particularly near the Equator. Brazil has over 140 million ha of degraded pastureland, the type of land authorized by the Brazilian government for palm tree cultivation. It is estimated that over 30 million hectares of this land is in the Amazon region, which is suitable for palm cultivation, with a potential expansion area of 5 to 10 million hectares. If fully utilized, Brazil could quadruple its palm oil production, strengthening the domestic industry and reducing reliance on imports.

Figure 25
Main Palm Oil Production Area in Brazil



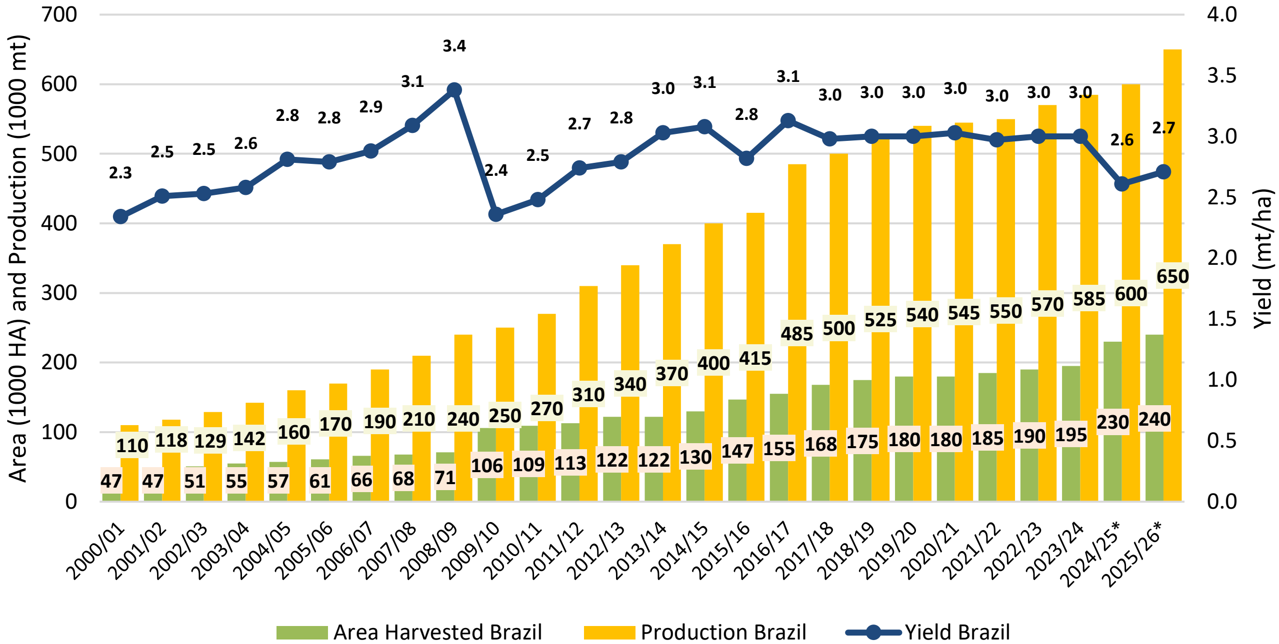
Source: Brazilian Insitiute of Geograpy and Statistics (IBGE) Data and USDA International Production Assessment Division Map

Growth in Productivity

Post forecasts palm oil production to reach 650,000 mt for MY 2025/26, a 9 percent increase compared to the current year's estimate of 600,000 mt. This increase in production is mainly attributed to a recovery from the unstable weather conditions caused by El Niño.

According to post contacts, producers will only be able to return to normal yield levels in MY 2025/26, as palm tree plantations take much longer than other types of plantations to recover from unstable weather conditions. Their fruits are heavily impacted by dry and hot weather but are also impacted by labor and other factors in the production process.

Figure 26
Brazil Palm Oil: Area, Yield and Production

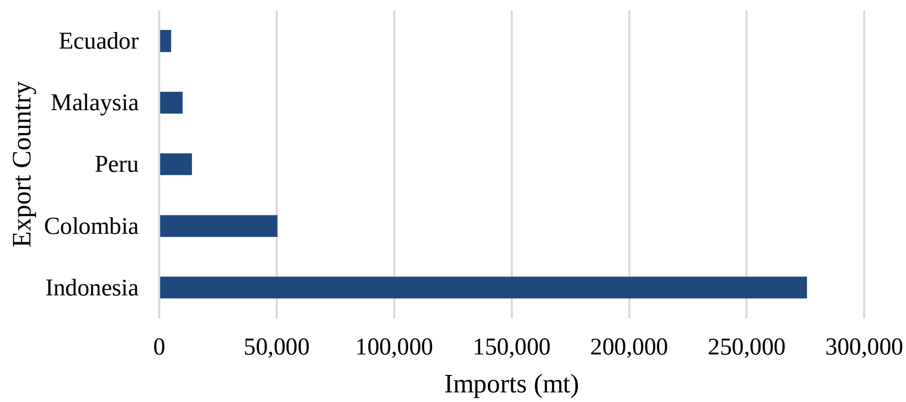


Source: USDA International Production Assessment Division | Additional Data and Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

Palm Oil Trade

Brazil is still considered an importer of palm oil, with most of the production being consumed internally, mainly in the food industry. During MY 2023/24, though Brazil exported 1.5 percent of what the country produced, it imported a total of 356,000 mt. Indonesia accounted for most of these exports, with more than 275,682 mt being destined for Brazil. Post forecasts that for MY 2025/26, Brazil will remain a net importer, with an estimated total of 360,000 mt in imports.

Figure 27
Palm Oil Imports to Brazil in 2024



Source: Data from Comex Stat | Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

Earlier this year, Post contacts estimated that the level of imports would experience a significant decline due to Brazil's expansion in palm oil production. However, on March 6, 2025, the Government of Brazil implemented a list of commodities for which import tariffs would be lifted or reduced. Among these commodities was palm oil, which will now have a new zero-tariff import quota, increasing from 65,000 mt to 150,000 mt. This measure was primarily intended to curb inflation for certain products and lower domestic prices for consumers.

Another factor that may impact trade activity is the reduction in palm oil consumption by one of the world's largest consumers. For MY 2025/26, India is expected to decrease its palm oil demand, potentially causing a shift in export levels for some countries, including Brazil, which is projected to export 10,000 mt of palm oil.

Brazil's main palm oil consumers are in the nearby region, with Uruguay and Argentina being the leading importers. However, as Southeast Asian producers seek alternative export destinations, Brazil may experience a decline in export demand as new export competitors may emerge in the region.

Table 10

Palm Oil Production, Supply, Distribution

Oil, Palm	**2023/2024**		**2024/2025**		**2025/2026**
Market Year Begins	**Jan 2024**		**Jan 2025**		**Jan 2026**
Brazil	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**New Post**

Area Planted (1000 HA)	195	195	200	220	230
Area Harvested (1000 HA)	195	195	200	220	230
Beginning Stocks (1000 mt)	32	32	64	64	55
Production (1000 mt)	585	585	600	600	650
MY Imports (1000 mt)	356	356	280	350	365
Total Supply (1000 mt)	973	973	944	1014	1070
MY Exports (1000 mt)	9	9	15	10	10
Industrial Dom. Cons. (1000 mt)	750	750	730	779	805
Food Use Dom. Cons. (1000 mt)	150	150	135	170	190
Feed Waste Dom. Cons. (1000 mt)	0	0	0	0	0
Total Dom. Cons. (1000 mt)	900	900	865	949	995
Ending Stocks (1000 mt)	64	64	64	55	65
Total Distribution (1000 mt)	973	973	944	1014	1070
Yield (mt/HA)	3	3	3	2.7273	2.8261
(1000 HA) ,(1000 TREES) ,(1000 mt) ,(mt/HA)					

Attachments:

No Attachments